THIS MATERIAL IS IMPORTANT
AND REQUIRES YOUR IMMEDIATE ATTENTION.
If you are in any doubt as to the action you should take,
you should consult your professional advisors.



Canada Bread Company, Limited

NOTICE OF SPECIAL MEETING OF SHAREHOLDERS

TO BE HELD ON DECEMBER 11, 2002

AND

MANAGEMENT INFORMATION CIRCULAR

November 13, 2002

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Canada Bread Company, Limited

MANAGEMENT INFORMATION CIRCULAR

SOLICITATION OF PROXIES

November 13, 2002

This management information circular ("Circular") is furnished in connection with the solicitation of proxies by or on behalf of the management of Canada Bread Company, Limited (the "Corporation") for use at the special meeting (the "Meeting") of shareholders ("Shareholders") of the Corporation to be held on December 11, 2002 at 3:00 p.m. (Toronto time) at the Metro Toronto Convention Centre, 55 Front Street West, Room 203BD, Toronto, Ontario, Canada and at all adjournments thereof. The solicitation will be made primarily by mail but proxies may also be solicited by telephone by employees of the Corporation. The costs of the solicitation will be borne by the Corporation.

Unless otherwise indicated, the information in this Circular is given as of the date hereof.

APPOINTMENT OF PROXIES

The persons named in the enclosed form of proxy are directors of the Corporation. **Each Shareholder has the right to appoint a person (who need not be a Shareholder) other than any person named in the enclosed form of proxy to attend, vote and act for and on behalf of such Shareholder at the Meeting.** This right may be exercised by inserting the name of the person to be appointed by the Shareholder in the space provided in the form of proxy, or by completing another proper form of proxy.

To be voted at the Meeting, proxies must be deposited with Computershare Trust Company of Canada, 100 University Avenue, 9th Floor, Toronto, Ontario, M5J 2Y1 not later than 5:00 p.m. (Toronto time) on December 10, 2002 or, if the Meeting is adjourned, not later than 5:00 p.m. (Toronto time) on the last business day preceding such adjournment. Properly executed proxies may also be delivered to the chairperson of the Meeting before the commencement of the Meeting or any adjournment thereof.

REVOCATION OF PROXIES

A Shareholder who has given a proxy may revoke the proxy by an instrument in writing, including another proxy bearing a later date, duly executed by the Shareholder or by his or her attorney authorized in writing and deposited with Computershare Trust Company of Canada or the chairperson of the Meeting, or any adjournment thereof, as provided above. A Shareholder may also revoke a proxy in any other manner permitted by law.

VOTING OF PROXIES

On any ballot that may be called for, the persons designated in the enclosed form of proxy will vote the common shares of the Corporation (the "Shares") in respect of which they are appointed by proxy for or against the matters to be voted upon at the Meeting in accordance with the instructions of the Shareholder indicated on such proxy. **In the absence of such direction, the Shares will be voted in favour of the resolution authorizing the indirect acquisition by the Corporation of the direct and indirect interests of Maple Leaf Foods Inc. ("Maple Leaf Foods") in four existing bakery operations in the United States and the United Kingdom (collectively referred to herein as "Maple Leaf Bakeries"), all as more particularly described in this Circular (the "Maple Leaf Bakeries Transaction").**

The enclosed form of proxy confers discretionary authority upon the persons designated therein with respect to any amendments or variations to the matters identified in the notice of meeting and other matters which may properly come before the Meeting or any adjournment thereof. As of the date hereof, management of the Corporation knows of no such amendment, variation or other matter to come before the Meeting other than the matters referred to in the notice of meeting and routine matters incidental to the conduct of the Meeting.

If you are the beneficial owner of Shares that are registered in the name of an intermediary:

Shares may be beneficially owned by a person (a ''Non-Registered Shareholder'') and registered either (a) in the name of an intermediary (an ''Intermediary''), such as, among others, banks, trusts companies, securities dealers or brokers or trustees or administrators of self-administered RRSPs, RRIPs, RESPs and similar plans; or (b) in the name of a clearing agency such as the Canadian Depository for Securities Limited, of which the Intermediary is a participant.

The Corporation is distributing copies of the notice of meeting and this Circular in connection with the Meeting (collectively, the "Meeting Materials") to Intermediaries for distribution to Non-Registered Shareholders. Non-Registered Shareholders shall also receive a voting instruction form from the Intermediary acting on their behalf to allow them to direct the voting of the Shares which they beneficially own. Non-Registered Shareholders returning the completed voting instruction form as indicated on the form will ensure that the Intermediary votes the Shares owned by the Non-Registered Shareholder in accordance with his/her instructions. Should a Non-Registered Shareholder who receives a voting instruction form from an Intermediary wish to attend and vote at the Meeting in person (or have another person attend and vote at the Meeting on their behalf), the Non-Registered Shareholder should write the Non-Registered Shareholder's (or such other desired person's) name in the space provided on the voting instruction form for that purpose. The Non-Registered Shareholder will accordingly be sent a legal form of proxy by the Intermediary allowing the Non-Registered Shareholder or its designate to attend and vote at the Meeting. Non-Registered Shareholders should carefully follow the instructions above and those set out on the voting instruction form.

VOTING SHARES

As of November 8, 2002, the Corporation had outstanding a total of 21,416,812 Shares, each carrying the right to one vote per Share. Only Shareholders of record at the close of business on November 11, 2002 (the ''Record Date'') will be entitled to vote at the Meeting, or any adjournment thereof, either in person or by proxy, except that in accordance with applicable law, a transferee of Shares acquired after the Record Date is entitled to vote such Shares at the Meeting if such transferee produces properly endorsed share certificates or otherwise establishes that the transferee owns such Shares, and demands no later than ten days before the Meeting that the name of such transferee be included in the list of persons entitled to vote at the Meeting.

To the best knowledge of the directors and officers of the Corporation, as of November 8, 2002, no person beneficially owns, directly or indirectly, or exercises control or direction over, Shares carrying more than 10% of the votes attaching to all Shares, other than the following:

Shareholder	Approximate Number of Shares Beneficially Owned or Over Which Control or Direction is Exercised	Approximate % of Outstanding Shares
Maple Leaf Foods	14,633,315	68.3%

As at November 8, 2002, CDS & Co., the nominee for the Canadian Depository For Securities Limited, is the registered owner of 6,044,276 Shares representing approximately 28.2% of the outstanding Shares. It is management's understanding that the Shares registered in the name of CDS & Co. are beneficially owned by various brokers and other parties on behalf of clients and others and the names of the beneficial owners of such Shares are not known to the Corporation.

The following table sets forth the approximate number of Shares owned, directly or indirectly, or over which control or direction is exercised by directors and senior officers of the Corporation as of November 2, 2002.

Name	Shares Beneficially Owned, Controlled or Directed
JOHN L. BRAGG	10,340
SARAH A. EVERETT	1,200
RICHARD A. LAN	5,000
CHARLES J. MAYER	3,150
JOHN F. PETCH	3,000
ROBERT I. BUSCH	600
ALISON FARRELL	1,000
C. BARRY MCLEAN	3,000
MICHAEL H. VELS	4,000

All directors and senior officers of the Corporation, as a whole, own, directly or indirectly, or exercise control or direction over less than 1% of the Shares.

A majority of votes cast at the Meeting is required for approval of the Maple Leaf Bakeries Transaction, other than votes attaching to Shares that are beneficially owned or over which control or direction is exercised by the Corporation, by Maple Leaf Foods, by any related party of Maple Leaf Foods or by any person acting jointly or in concert with Maple Leaf Foods or any related party of Maple Leaf Foods (the ''Non-Related Shareholders'').

DIVIDEND POLICY

The declaration and payment of dividends is at the discretion of the Board of Directors of the Corporation (the ''Board of Directors''). The Board of Directors intends to maintain a stable dividend policy and, where appropriate, change the dividend on the basis of the Corporation's estimated earnings and projected cash requirements.

The consummation of the Maple Leaf Bakeries Transaction is not expected to have any effect on the Corporation's dividend policy.

SUMMARY OF THE PROPOSED MAPLE LEAF BAKERIES TRANSACTION AND MATTERS TO BE VOTED ON BY SHAREHOLDERS

At the Meeting, Shareholders will be asked to approve the Maple Leaf Bakeries Transaction pursuant to which the Corporation will indirectly acquire the direct and indirect interests of Maple Leaf Foods in Maple Leaf Bakeries at a price of approximately Cdn.$262 million plus the book value of the trade payables and other current liabilities of the business currently operated by Maple Leaf Bakery Inc. (''MLB US'') (the ''Purchase Price''). The Purchase Price will be financed by: (i) the indirect payment by the Corporation of Cdn.$60 million in cash which will be drawn on its existing credit facility with third party lenders (the ''Facility''); (ii) the indirect payment by the Corporation of an amount in cash to be determined by the Corporation which will be drawn on its credit facility with Maple Leaf Foods (the ''Maple Leaf Facility''); (iii) the indirect assumption by the Corporation of existing indebtedness of Maple Leaf Bakeries to banks and other third parties and the current portion of the long term inter-corporate debt payable by New York Bagel Co. Limited (''New York Bagel'') and Maple Leaf Bakery UK Limited (''MLB UK'' and together with New York Bagel, the ''U.K. Bakeries'') to Maple Leaf Foods; (iv) the issuance of a promissory note in an amount to be determined by the Corporation, which amount will be dependant upon the amount of cash paid pursuant to (ii) (the ''Note''); and (v) the assumption of the book value of the trade payables and other current liabilities of the business currently operated by MLB US. The current portion of long-term inter-corporate debt assumed by the Corporation pursuant to item (iii) shall be repaid by UK Bakeries immediately following the closing of the Maple Leaf Bakeries Transaction.

The Maple Leaf Bakeries Transaction, which is described in detail in this Circular, is expected to close on or about December 12, 2002 or such other date as may be agreed upon by the Corporation and Maple Leaf Foods (the ''Closing Date''), subject to the obtaining of Shareholder approval and the fulfilling of certain other conditions of closing, all as further described herein.

The acquisition of the four businesses which comprise Maple Leaf Bakeries will transform the Corporation from a Canadian baking company to a global baking company with significant capabilities across fresh, frozen, par-baked and artisan bread product lines, and will provide it with manufacturing facilities in Canada, the United Kingdom and the United States. Maple Leaf Bakeries holds good prospects for future growth in earnings, both from its base of existing businesses and through potential future development and expansion opportunities. The acquisition is anticipated to be accretive to the Corporation's earnings, enhancing Shareholder value in both the short and long term. See ''*Description of the Maple Leaf Bakeries Transaction — Reasons for the Transaction*''.

Maple Leaf Foods, as a Shareholder, owns 14,633,315 Shares, or approximately 68% of the total number of Shares issued and outstanding. See ''*Voting Shares*''. As a result, the purchase by the Corporation of the assets of Maple Leaf Foods constitutes a related party transaction. Accordingly, the Corporation must comply with the provisions of Ontario Securities Commission Rule 61-501 (''Rule 61-501'') and Quebec Securities Commission Policy Q-27 (''Policy Q-27'' and together with Rule 61-501, the ''Related Party Rules'').

The Related Party Rules require that, among other things, the Corporation follow the valuation requirements set out in the Related Party Rules unless an exemption from such valuation requirements is available. The Related Party Rules also require that certain disclosure about the Maple Leaf Bakeries Transaction be provided in the proxy materials sent to Shareholders, including a discussion of the review and approval process adopted by the Board of Directors and any independent committee thereof in respect of the Maple Leaf Bakeries Transaction.

The Board of Directors appointed a special committee (the ''Special Committee'') to evaluate the potential acquisition of Maple Leaf Bakeries, to conduct independent investigations and supervise due diligence, to negotiate the terms of the Maple Leaf Bakeries Transaction and to make a recommendation to the Board of Directors in respect of the Maple Leaf Bakeries Transaction. The Board of Directors also authorized the Special Committee to retain legal and financial advisors to provide guidance and advice to assist in its deliberations. The Special Committee retained Scotia Capital Inc. (''Scotia Capital'') as its financial advisor and Heenan Blaikie LLP as its legal advisor. The review and approval process with respect to the Maple Leaf Bakeries Transaction is described in detail in this Circular. See ''*Review and Approval Process for the Maple Leaf Bakeries Transaction*''.

As part of its engagement, Scotia Capital conducted valuations of the businesses comprising Maple Leaf Bakeries and the Maple Leaf Facility and provided the Special Committee with an opinion as to the fairness from a financial point of view to the Corporation of the consideration being offered by the Corporation to acquire Maple Leaf Bakeries. A summary of Scotia Capital's valuations and the fairness opinion is set out in this Circular. See ''*Review and Approval Process for the Maple Leaf Bakeries Transaction — Summary of Scotia Capital's Valuations and Fairness Opinion*''.

Pursuant to the minority approval requirements of the Related Party Rules, the resolution authorizing the Maple Leaf Bakeries Transaction must be passed by a majority of the votes of the Non-Related Shareholders cast at the Meeting. In addition to approval of the Non-Related Shareholders, the Maple Leaf Bakeries Transaction is subject to a number of other conditions which are discussed in this Circular.

DESCRIPTION OF THE MAPLE LEAF BAKERIES TRANSACTION

Background to the Transaction

The Corporation first entered into discussions with Maple Leaf Foods in September, 2000 concerning the possible purchase of Maple Leaf Bakeries other than New York Bagel and Grace Baking Company (''Grace Baking''). At that time, the Board of Directors appointed a special committee of independent directors to consider this possible acquisition. The members of the special committee were John L. Bragg, Sarah A. Everett and Charles J. Mayer. The special committee retained legal counsel and a financial advisor. Prior to the completion of the review process underway by the special committee and its financial advisor, it became apparent to the special committee that it had a difference of view with the management of Maple Leaf Foods as to what an appropriate range of value of Maple Leaf Bakeries might be. This difference in view was largely due to the relatively early stage of Maple Leaf Bakeries' development and in particular to the operating losses that it had recorded in 1998, 1999 and for the first eight months of 2000. In light of these differences, the discussions regarding a possible purchase of Maple Leaf Bakeries by the Corporation were terminated.

Maple Leaf Bakeries had an operating profit for the year 2001 and for the first six months of 2002. As a result, in July, 2002, Mr. Michael H. McCain, President and Chief Executive Officer of Maple Leaf Foods and a director of the Corporation, suggested at a meeting of the Board of Directors that the idea of the Corporation purchasing Maple Leaf Bakeries should be revisited. The Board of Directors decided to form the Special Committee to consider the matter, which was again composed of John L. Bragg, Sarah A. Everett and Charles J. Mayer. The Special Committee engaged legal counsel, Heenan Blaikie LLP, and a financial advisor, Scotia Capital.

Shortly thereafter, Maple Leaf Foods proposed to the Corporation that Maple Leaf Foods sell Maple Leaf Bakeries (excluding Grace Baking) to the Corporation at a price of between Cdn. $230 and Cdn. $240 million. Maple Leaf Foods was prepared to receive a significant portion of the consideration in the form of a note payable, in order that the Corporation would not have to immediately arrange third party financing for the acquisition. Maple Leaf Foods also indicated that it would like to receive between Cdn. $75 million and Cdn. $100 million of the consideration in the form of Shares. The Corporation was also advised by Maple Leaf Foods that, should it acquire these businesses, Maple Leaf Foods was nearing agreement on the purchase of another bakery in the United States, Grace Baking, and that it would be prepared to sell Grace Baking to the Corporation at the price which Maple Leaf Foods would pay for it.

After studying Maple Leaf Foods' initial proposal and receiving appropriate financial and legal advice, the Special Committee responded that it could not recommend a price of between Cdn. $230 and Cdn. $240 million for Maple Leaf Bakeries, excluding Grace Baking, to the Board of Directors. Following further negotiations, Maple Leaf Foods and the Special Committee ultimately agreed that Cdn. $225 million was a price that Maple Leaf Foods would be willing to accept and that the Special Committee could recommend to the Board of Directors. The Special Committee also agreed to recommend to the Board of Directors the purchase by the Corporation of Grace Baking at the price which Maple Leaf Foods had negotiated to acquire that business, approximately U.S.$26 million (or Cdn. $41 million). It was agreed that the purchase price would be inclusive of debt owed by Maple Leaf Bakeries to third parties and exclusive of bank debt and inter-corporate long term debt.

The Special Committee advised Maple Leaf Foods' management that it was not comfortable recommending the issuance of Shares to Maple Leaf Foods as consideration for the Maple Leaf Bakeries Transaction. After some consideration, Maple Leaf Foods' management accepted the Special Committee's position on this point.

The Special Committee accepted Maple Leaf Foods' offer to lend a portion of the purchase price to the Corporation to avoid the necessity of the Corporation obtaining third party financing prior to carrying out the Maple Leaf Bakeries Transaction. See "*Description of the Maple Leaf Bakeries Transaction — Terms of the Note and Maple Leaf Facility*". This would allow the Corporation to refine its long term financing plan following the completion of its acquisition of Maple Leaf Bakeries which may include a debt issue or an equity rights issue. It was also agreed that the Corporation would pay approximately Cdn. $60 million of the purchase price in cash on closing which it would draw down on the Facility.

On October 9, 2002, the Board of Directors of Maple Leaf Foods approved the Maple Leaf Bakeries Transaction in principle on the terms which Maple Leaf Foods' management had negotiated with the Special Committee. On the same day, the Board of Directors of the Corporation received the recommendation of the Special Committee and approved the Maple Leaf Bakeries Transaction in principle on the terms recommended to it by the Special Committee.

Reasons for the Transaction

The reasons for the Maple Leaf Bakeries Transaction are as follows:

- the opportunity for immediate and significant geographic diversification of operations of the Corporation throughout the United States and the United Kingdom;
- Maple Leaf Bakeries includes a business which is the market leader in the United States retail par-bake segment. See "*Description of the Maple Leaf Bakeries Transaction — Description of Maple Leaf Bakeries*";
- Maple Leaf Bakeries holds good prospects for future growth in earnings both from its base of existing businesses and through potential future development and expansion opportunities;
- the Maple Leaf Bakeries Transaction is anticipated to be accretive to the Corporation's earnings, enhancing Shareholder value in both the short and long term;

- Maple Leaf Bakeries currently sources a significant amount of product from the Corporation for sale in the U.S. The Corporation will be better able to manage this volume of business for the U.S. market by controlling Maple Leaf Bakeries;
- Maple Leaf Bakeries is the leading producer of bagels in the United Kingdom; and
- estimated annual cost savings to the Corporation and Maple Leaf Bakeries of an aggregate of approximately Cdn. $2.8 million as a result of the integration of management, technologies and operating expertise.

Benefits of the Transaction to Maple Leaf Foods

Maple Leaf Foods will benefit from the Maple Leaf Bakeries Transaction as follows:

- consolidation of bakery operations and a more natural strategic alignment with the Corporation; and
- sharing, through its 68% interest in the Corporation, in the estimated annual cost savings to the Corporation of approximately Cdn. $2.8 million as a result of the integration of management, technologies and operating expertise.

Effect of the Transaction on the Corporation's Business and Affairs

On the Closing Date (assuming no other acquisitions or asset sales between the date of this Circular and the Closing Date), 81% of the operations measured by year to date sales of the Corporation at September 30, 2002 will be based in Canada, 16% will be based in the United States and 3% will be based in the United Kingdom.

Related Party Transaction

As discussed above, Maple Leaf Foods owns 14,633,315 Shares, or approximately 68% of the total number of Shares issued and outstanding. As a result of this relationship, the Maple Leaf Bakeries Transaction constitutes a related party transaction pursuant to the Related Party Rules and, accordingly, the Corporation must comply with the provisions of the Related Party Rules governing related party transactions.

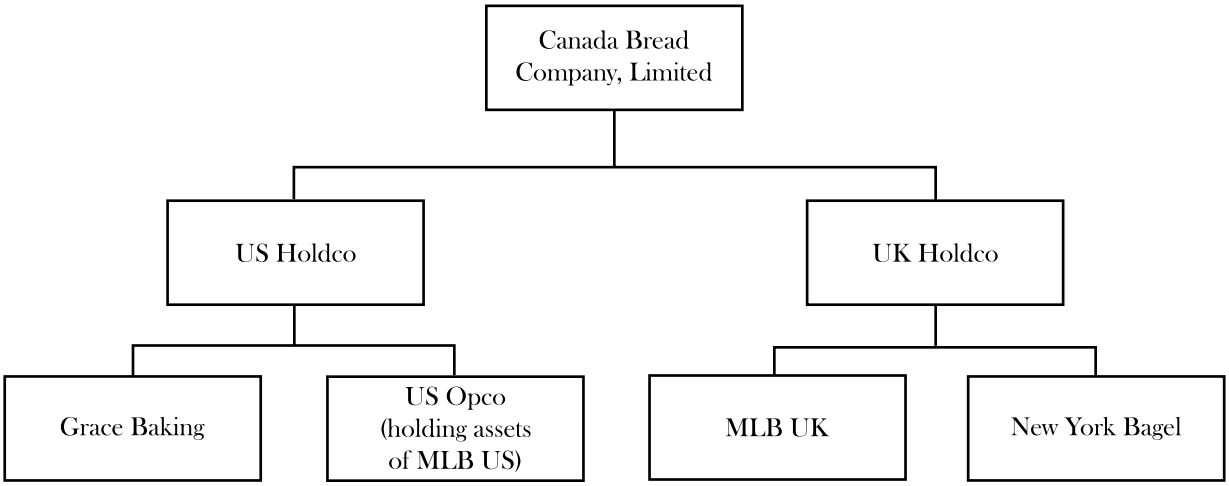
Description of Maple Leaf Bakeries

The information contained or referred to in this Circular about Maple Leaf Bakeries, including information about its businesses, its financial information and its financial statements, has been furnished to the Board of Directors by Maple Leaf Foods. Therefore, neither the Board of Directors nor the Corporation assume any responsibility for the accuracy or completeness of this information.

Overview

Maple Leaf Bakeries consists of two businesses located in the United States: MLB US and Grace Baking; and two businesses located in the United Kingdom: the UK Bakeries. Maple Leaf Bakeries is engaged in the manufacture of frozen and par-baked bakery products and fresh and frozen bagels all as described below. The most significant consumer markets for Maple Leaf Bakeries consist of frozen and par-baked private label and branded par-baked products in the United States, and bagels in the United Kingdom.

The following depicts graphically how the Maple Leaf Bakeries will fit into the corporate structure of the Corporation immediately following the consummation of the Maple Leaf Bakeries Transaction.



Maple Leaf Bakery Inc.

MLB US is a leading supplier of frozen and par-baked private label and branded par-baked bread, rolls and bagels in the United States. MLB US was formed in 1995, employs over 380 people and operates two large scale facilities located in Roanoke, Virginia and Oxnard, California. Most of MLB US' growth has been internal, but the company made two acquisitions in 1996 to accelerate its business plan: Cambridge Bakery Frozen Products and Pioneer French Bakery. As part of the Pioneer French Bakery acquisition, MLB acquired the California Goldminer™ brand and an authentic sourdough manufacturing process. In 2001, MLB US had total sales of U.S.$116.1 million, operating earnings of U.S.$3.5 million and total assets of U.S.$103.2 million.

The Corporation currently participates in the par-baked market in the United States through a short term co-pack agreement with MLB US. Under this agreement, MLB US sources the manufacturing of selected par-bake and other products from the Corporation's Toronto and Calgary facilities for sale by MLB US to its U.S. customer base. The purchase of MLB US by the Corporation will ensure that the Corporation continues to participate in this growing market.

Business Strategy

MLB US' strategy is to build on its position as the premier supplier of par-baked products, rolls and bagels in the United States. It has strategically targeted and aggressively grown its par-bake business over the past several years and has been decreasing its focus on non par-bake sales. MLB US sales of par-baked product increased 17.3% in 2001 over 2000 and par-bake as a percentage of MLB US' total sales has increased from under 60% in 1998 to over 80% in the first nine months of 2002. MLB US believes that its efficient, large scale manufacturing facilities and national distribution capability provides it with a competitive advantage.

Par-Baked Industry

Par-baked goods are ''partially'' baked, flash frozen and then shipped to customers who complete the baking process. Par-baked products allow retailers and foodservice organizations to offer a higher quality, more consistent product to their customers without the traditional requirements for skilled labour and a large capital investment in their bakery operations. In addition, par-baking allows stores to provide fresh products at all hours and reduce spoilage levels. These advantages over the traditional scratch or frozen dough baking methods have resulted in a transition to par-baked products which is gaining momentum in the two principal distribution channels: retail in-store bakeries located in supermarkets and supercenters, and the foodservice market which is defined as services/restaurants that provide ''food away from home''. The foodservice sector is expected to have significant growth driven by changing demographic trends (e.g., dual parent working families and an aging population with increased discretionary spending).

Leading Market Position

MLB US is a leading par-bake supplier to in-store bakeries and management believes that MLB US holds about 50% of the market share of the national retailer par-baked market in the United States. MLB US possesses strong relationships with many of the leading supermarket retailers in the U.S. Many of these customers have taken leading roles in the consolidation of the U.S. supermarket retailing sector.

In addition, MLB US has also made considerable progress developing its business in the foodservice industry over the past two years. Its most significant foodservice customers are large family restaurant chains and sandwich shops. The foodservice segment provides significant growth opportunities for MLB US.

Facilities

MLB US owns and operates two large scale production facilities: one serving the east coast based in Roanoke, Virginia which is 130,000 square feet, and one serving the west coast based in Oxnard, California which is 98,000 square feet. The state-of-the-art Roanoke facility was completed in 1998 and was expanded in 2001. Both facilities are equipped with high quality, automated production equipment and produce par-bake crusty, hearth and sourdough breads. Both production facilities are currently operating below capacity which allows for future sales expansion and profit growth with minimal incremental investment. Management believes that the size of each of these facilities allows MLB US to benefit from significant economies of scale.

Competition

MLB US is unique in being the first company totally dedicated to par-baked technology with national distribution capabilities. MLB US competes with a few national competitors (Rich's, Pillsbury and IAWS) and several local competitors.

Grace Baking Company

Grace Baking, which was acquired by Maple Leaf Foods in October, 2002, is a leading producer of fresh and frozen artisan bread products and is located in San Francisco, California. Grace Baking was formed in 1987, employs approximately 191 people and operates a modern production facility located in Richmond, California. The corporate strategy of Grace Baking is to become the leading artisan bread brand in the United States. Grace Baking has annualized sales of U.S.$18 million.

Artisan Bread Industry

Artisan bread is the premium, high growth segment of the bread market. Authentic ''artisan'' bread is bread having outstanding quality, usually made in traditional European style, with a crunchy crust and soft, somewhat chewy interior. Artisan bread is made with the highest quality ingredients, does not contain any preservatives and has a short shelf-life, often no more than 24 hours.

Leading Market Position

Grace Baking is one of the top three branded artisan bread companies in the United States in terms of product quality and authenticity, brand recognition, customer accounts, par-baking expertise and sales volume. Grace Baking holds the number one position for artisan bread in the San Francisco Bay area. In addition, Grace Baking has also established a position in the frozen, par-baked segment of the artisan bread market.

Grace Baking has a large number of customers in the retail and foodservice segments of the market. Products are distributed through two sales channels: direct store delivery and frozen markets.

Facilities

In 2000, Grace Baking moved into a new, modern 57,800 square foot production facility in Richmond, California which is equipped with state-of-the-art equipment manufactured in Europe. Grace Baking's new facility and par-baking process enable it to produce a very high quality product on a mass scale at low unit costs.

Competition

Grace Baking does not compete directly against the major fresh bread companies but does compete with smaller artisan bakeries to a limited extent in local markets, and selected private label bakeries and

branded par-bake companies. Grace Baking believes that the three leading branded par-baking companies in the United States are Grace Baking, La Brea Bakery and Ecce Panis.

U.K. Bakeries

U.K. Bakeries is focused on the manufacture and marketing of bagel products and has become the largest bagel supplier in the United Kingdom. MLB UK was established in 1998 and quickly became the leading private label bagel producer. New York Bagel, a leading branded bagel producer, was acquired in September 2001. U.K. Bakeries employs approximately 146 people and has two plants. In 2001, U.K. Bakeries had total sales of G.B.P. £5.2 million, operating earnings of G.B.P. £0.6 and total assets of G.B.P. £10.9 million. Results for 2001 only include New York Bagel for four months.

Business Strategy

U.K. Bakeries' strategy is to maintain its leadership position in the United Kingdom bagel market and to expand the overall market size. Over the past year it has focused on the integration of New York Bagel, and reducing its cost structure to ensure long term profitability.

U.K. Bagel Industry

Bagels comprise part of the United Kingdom's ''morning goods market'', currently accounting for approximately 2.9% of the sector. The overall demand for these morning goods in the United Kingdom is increasing, and it is expected that bagel penetration into the morning goods market will increase considerably over the next five years.

Significant Market Position

U.K. Bakeries has become the largest bagel supplier in the U.K. and supplies the four major retailers in the United Kingdom. In addition, over the last two years, U.K. Bakeries has also made considerable progress developing its businesses in the foodservice industry. Management believes that the current bagel industry in the United Kingdom is significantly underdeveloped and represents a major opportunity for future growth.

Facilities

U.K. Bakeries operates two facilities in England located in Rotherham and Peterborough. The Rotherham facility is 12,000 square feet and the Peterborough facility is 60,000 square feet.

Competition

Competitors of U.K. Bakeries are small and fragmented due to the early stage of the market development.

Structure of the Transaction

Pursuant to the terms of three agreements of purchase and sale dated November 13, 2002 (the ''Purchase Agreements''), the Corporation has agreed to indirectly acquire the direct and indirect interests of Maple Leaf Foods in Maple Leaf Bakeries for the Purchase Price.

It is proposed that the Maple Leaf Bakeries Transaction be effected through a combination of share and asset purchase arrangements. Specifically, the Purchase Agreements provide for the purchase by three wholly owned subsidiaries of the Corporation of (i) all of the issued and outstanding shares of each of Grace Baking, MLB UK and New York Bagel; and (ii) substantially all of the assets, property and undertaking currently held by MLB US (other than certain tax assets) relating to the operation of its business of manufacturing, selling, distributing and marketing fresh, frozen and par-baked bakery products (the ''MLB US Business''). The Corporation will also assume the liabilities (other than tax liabilities and inter-corporate long term debt) relating to the MLB US Business currently operated by MLB US.

In connection with the Maple Leaf Bakeries Transaction, Maple Leaf Foods and the Corporation will enter into a non-competition agreement (the ''Non-Competition Agreement'') pursuant to which Maple Leaf Foods agrees, upon the terms contained in such agreement, that it shall not compete with Maple Leaf Bakeries in connection with the business of manufacturing fresh, frozen and par-baked bakery products for a period of five years from the date of such Non-Competition Agreement.

Maple Leaf Foods and the Corporation will also enter into a trade-mark license agreement (the ''Trade-mark License Agreement'') pursuant to which Maple Leaf Foods grants to the Corporation a

license to use the ''Maple Leaf'' name and trade-marks for a period of three years following the Closing Date. At the end of such three year period, the Corporation will have the right to elect to continue to use such name and trademarks for so long as Maple Leaf Foods owns greater than 50% of all of the issued and outstanding shares of the Corporation.

Terms of the Note and Maple Leaf Facility

The Note will be due and payable January 7, 2003 and will have a fixed interest rate component. Upon the expiry of the Note, the Corporation will draw down an additional amount on the Maple Leaf Facility sufficient to satisfy the Note.

The terms of the Maple Leaf Facility will be substantially the same as those of the Facility. Interest will be determined and payable quarterly in accordance with the applicable margins set forth under the Facility. Further, the representations, warranties, covenants and events of default of the Maple Leaf Facility will mirror those currently set forth under the Facility.

Conditions in Favour of the Corporation

In addition to standard closing conditions, the obligation of the Corporation to complete the Maple Leaf Bakeries Transaction is subject to the following:

(a) *No Material Adverse Change.* No change shall have occurred in the business, operations, assets or financial conditions of Maple Leaf Bakeries between November 13, 2002 and the Closing Date which would have a material adverse effect on Maple Leaf Bakeries.

(b) *Shareholders' Approval.* The Corporation shall have obtained the approval of the Shareholders to the Maple Leaf Bakeries Transaction as required by applicable securities laws, including the Related Party Rules.

(c) *Non-Competition Agreement.* Maple Leaf Foods shall have executed and delivered the Non-Competition Agreement. See ''*Description of the Maple Leaf Bakeries Transaction — Structure of the Transaction*''.

(d) *Trade-mark License Agreement.* Maple Leaf Foods shall have executed and delivered the Trade-mark License Agreement. See ''*Description of the Maple Leaf Bakeries Transaction — Structure of the Transaction*''.

Conditions in Favour of Maple Leaf Foods

The obligation of Maple Leaf Foods to complete the Maple Leaf Bakeries Transaction is subject to standard closing conditions.

Vote Required

Pursuant to the Related Party Rules, the resolution authorizing the Maple Leaf Bakeries Transaction must be passed by a majority of the votes cast at the Meeting by the Non-Related Shareholders.

REVIEW AND APPROVAL PROCESS FOR THE MAPLE LEAF BAKERIES TRANSACTION

Special Committee

On July 24, 2002, the Board of Directors appointed the Special Committee to evaluate the potential acquisition of Maple Leaf Bakeries, to conduct independent investigations and supervise due diligence, to negotiate the terms of the Maple Leaf Bakeries Transaction and to make recommendations to the Board of Directors with regard to the Maple Leaf Bakeries Transaction. The Special Committee consisted of John L. Bragg, Sarah A. Everett and Charles J. Mayer. No member of the Special Committee is an employee, an insider, an associate, an affiliate of, or an advisor to, Maple Leaf Foods or any of its associates or affiliates other than the Corporation, or has held any such position during the 12-month period preceding the date of the establishment of the Special Committee. None of the members of the Special Committee (i) will benefit from the Maple Leaf Bakeries Transaction in any manner that is different from any Non-Related Shareholder; or (ii) has any material financial interest in Maple Leaf Foods or any of its associates or affiliates other than the Corporation.

The Special Committee retained Scotia Capital to provide financial advice to the Special Committee, which included the preparation of formal valuations in accordance with the Related Party Rules and a fairness opinion. See ''*Review and Approval Process for the Maple Leaf Bakeries Transaction — Summary of Scotia Capital's Valuations and Fairness Opinion*''. The Special Committee retained Heenan Blaikie LLP as its legal counsel to assist the Special Committee in discharging its responsibilities and to provide the Special Committee with advice concerning its duties and the conduct of its meetings.

The Special Committee met on 10 occasions to discuss the Maple Leaf Bakeries Transaction and negotiated its terms. Legal counsel attended the meetings of the Special Committee and participated actively in reviewing and analyzing the proposed terms of the Maple Leaf Bakeries Transaction and in the negotiation sessions. Scotia Capital also assisted in this process in various regards, including visiting the sites of the MLB US facilities located in Roanoke, Virginia and Oxnard, California.

In ultimately recommending the Maple Leaf Bakeries Transaction to the Board of Directors, the Special Committee focused on the following factors:

- the fairness opinion provided by Scotia Capital, which concluded that the consideration being offered by the Corporation with respect to the Maple Leaf Bakeries Transaction was fair from a financial point of view to the Corporation;
- the nature of the businesses comprising Maple Leaf Bakeries which are highly complementary to the existing business of the Corporation;
- the opportunity for immediate and significant geographic diversification of the operations of the Corporation throughout the United States and the United Kingdom;
- the experience of the members of the management team of Maple Leaf Bakeries that are known to the Special Committee, and the record they have established;
- the enhancement of the Corporation's significant business relationship with Maple Leaf Foods through the consolidation of bakery operations;
- the good prospects for future growth in earnings of Maple Leaf Bakeries;
- the Maple Leaf Bakeries Transaction is anticipated to be accretive to the Corporation's earnings;
- the estimated annual cost savings to the Corporation and Maple Leaf Bakeries of an aggregate of approximately Cdn. $2.8 million as a result of the integration of management, technologies and operating expertise;
- the valuation of Scotia Capital which concluded that as of November 11, 2002, the fair market value of Maple Leaf Bakeries is in the range of Cdn. $251 million to Cdn. $286 million. See ''*Review and Approval Process for the Maple Leaf Bakeries Transaction — Summary of Scotia Capital's Valuations and Fairness Opinion*'' and the full text of the Valuations (as defined below) and Fairness Opinion (as defined below) attached as Appendix ''B'' to this Circular;
- the valuation of Scotia Capital which concluded that as of November 11, 2002, the fair market value of the Maple Leaf Facility would, if fully drawn upon, be in the range of Cdn. $200 million to Cdn. $210 million. See ''*Review and Approval Process for the Maple Leaf Bakeries Transaction — Summary of Scotia Capital's Valuations and Fairness Opinion*'' and the full text of the Valuations and Fairness Opinion attached as Appendix ''B'' to this Circular; and

- the fact that the Maple Leaf Bakeries Transaction is subject to the approval of a majority vote of Non-Related Shareholders.

The Special Committee determined that Scotia Capital, as a major Canadian full-service investment banking firm, was qualified to conduct the valuations and that Scotia Capital was independent of the parties to the Maple Leaf Bakeries Transaction. Scotia Capital did not have material business dealings with any of the parties to the Maple Leaf Bakeries Transaction during the 24 month period preceding the date it was first contacted regarding its engagement as financial advisor in respect of the proposed acquisition of Maple Leaf Bakeries by the Corporation. Scotia Capital's compensation for its services is not dependent in whole or in part on the completion of the Maple Leaf Bakeries Transaction.

Recommendation of the Special Committee

At a meeting of the Special Committee held on October 7, 2002, Scotia Capital delivered a preliminary report on its valuations to the Special Committee. The chair of the Special Committee was directed by the Special Committee to negotiate a purchase price with Maple Leaf Foods. These negotiations resulted in an agreement on a purchase price for the Maple Leaf Bakeries (excluding Grace Baking) of Cdn.$225 million. At a meeting of the Special Committee held on October 9, 2002, the Special Committee unanimously decided to recommend to the Board of Directors approval of the Maple Leaf Bakeries Transaction, subject to completion of definitive documentation.

Recommendation of the Board of Directors

The Board of Directors met following the meeting of the Special Committee on October 9, 2002. At that meeting, the Board of Directors approved the Maple Leaf Bakeries Transaction in principle and determined that, subject to the completion of due diligence and the execution of definitive agreements, it should be recommended to the Shareholders. At a meeting of the Board of Directors held on November 12, 2002 held to approve the contents of this Circular and the distribution thereof to the Shareholders, the Board of Directors confirmed their recommendation to the Shareholders.

The Board of Directors unanimously recommends that the Shareholders vote in favour of the resolution approving the Maple Leaf Bakeries Transaction.

In reaching this determination, the Board of Directors considered the following:

- the reasons for the Maple Leaf Bakeries Transaction set out under ''*Description of the Maple Leaf Bakeries Transaction- Reasons for the Transaction*'';
- the factors considered by the Special Committee set out under ''*Review and Approval Process for the Maple Leaf Bakeries Transaction — Special Committee*''; and
- the unanimous recommendation of the Maple Leaf Bakeries Transaction by the Special Committee, which consisted solely of disinterested directors.

This discussion of the information and factors considered and evaluated by the Board of Directors is not intended to be exhaustive but is believed to include all material factors considered by the Board of Directors.

Summary of Scotia Capital's Valuations and Fairness Opinion

Overview

On November 11, 2002, Scotia Capital delivered to the Special Committee valuations (the ''Valuations'') of each of Maple Leaf Bakeries and the Maple Leaf Facility, on the assumption that it is fully drawn, as well as an opinion (the ''Fairness Opinion'') as to the fairness, from a financial point of view to the Corporation of the consideration being offered by the Corporation to acquire Maple Leaf Bakeries. Scotia Capital subsequently met with the Special Committee on November 12, 2002 to deliver its final report on the Valuations and Fairness Opinion. The following is a summary of the Valuations and Fairness Opinion. This summary is qualified in its entirety by the Valuations and Fairness Opinion, a copy of which is attached to this Circular as Appendix ''B''. Capitalized terms used in this summary and not otherwise defined in this Circular shall have the meanings ascribed to them in the Valuations and the Fairness Opinion.

Shareholders are urged to read the Valuations and the Fairness Opinion in their entirety.

Engagement and Credentials of Scotia Capital

By letter agreement dated August 21, 2002, as amended November 4, 2002 (the ''Engagement Letter''), the Special Committee engaged Scotia Capital to, among other things, prepare and deliver to the Special Committee the Valuations and the Fairness Opinion. Scotia Capital's engagement provides for the payment of Cdn. $425,000 for its services, reimbursement for reasonable out-of-pocket expenses and customary indemnification.

Scotia Capital is one of Canada's largest investment banking firms with operations in all facets of corporate and government finance, mergers and acquisitions, equity and fixed income sales and trading and investment research. Scotia Capital has extensive experience in the preparation of valuations and fairness opinions. The Valuations and Fairness Opinion represent the opinion of Scotia Capital and the form and content thereof have been approved for release by a committee of directors and other professionals of Scotia Capital, each of whom is experienced in mergers and acquisitions and valuation matters.

Independence of Scotia Capital

Neither Scotia Capital nor its affiliates is an insider, associate or affiliate (as those terms are defined in the *Securities Act* (Ontario)) of the Corporation, Maple Leaf Foods or any of their respective associates or affiliates. Scotia Capital has not been engaged to provide any financial advisory services of a material nature nor has it participated in any financing of a material nature involving the Corporation, Maple Leaf Foods or any of the respective associates or affiliates, within the past 24 months.

There are no understandings, agreements or commitments between Scotia Capital and the Corporation, Maple Leaf Foods or any of their respective associates or affiliates with respect to any future business dealings. Scotia Capital may, in the future, in the ordinary course of business, perform financial advisory or investment banking services for the Corporation, Maple Leaf Foods or any of their respective associates or affiliates. The compensation of Scotia Capital in connection with the Maple Leaf Bakeries Transaction does not depend in whole or in part upon either the conclusions reached in the Valuations or Fairness Opinion, or upon the outcome of the Maple Leaf Bakeries Transaction.

Scotia Capital acts as a trader and dealer, both as principal and agent, in the financial markets in Canada, the United States and elsewhere and as such may have had and may have positions in the securities of the Corporation, Maple Leaf Foods or any of their respective associates and affiliates and, from time to time, may have executed or may execute transactions on behalf of such companies or clients for which it receives compensation. As an investment dealer, Scotia Capital conducts research on securities and may, in the ordinary course of business, provide research reports and investment advice to its clients on investment matters, including the Maple Leaf Bakeries Transaction.

Scope of the Review

In connection with the preparation of the Valuations and the Fairness Opinion, Scotia Capital reviewed extensive information provided by the Corporation, Maple Leaf Foods and their respective associates and affiliates, undertook various procedures, met with senior management of the Corporation and Maple Leaf Foods and with representatives of the Special Committee, and conducted investigative exercises, all of which are more specifically described in Appendix ''B'' to this Circular.

Valuations and Fairness Opinion

The following is a summary only of the Valuations and Fairness Opinion. The Valuations and Fairness Opinion should be considered in their entirety. Consideration of only selected portions could be misleading and could create a misleading view of the process underlying the Valuations and Fairness Opinion. The Valuations and Fairness Opinion are addressed to the Special Committee for its exclusive use in connection with its evaluation of the Maple Leaf Bakeries Transaction and is not intended to be, and does not constitute, a recommendation to any Shareholder as to how such Shareholder should vote with respect to any resolution in respect of the Maple Leaf Bakeries Transaction or to any person in connection with any investment decision in respect of any Shares. The Valuations and Fairness Opinion is attached in its entirety as Appendix ''B'' to this Circular.

Based upon, and subject to the analyses and assumptions set out in the Valuations and Fairness Opinion, Scotia Capital concluded the following:

- the fair market value of Maple Leaf Bakeries, as at November 11, 2002, was in the range of Cdn. $251 million to Cdn. $286 million; and
- the fair market value of the Maple Leaf Facility, as at November 11, 2002, was, if it had been fully drawn upon, in the range of Cdn. $200 million to Cdn. $210 million.

Scotia Capital also advised the Special Committee that, in its opinion as at November 11, 2002, the consideration being offered by the Corporation to acquire Maple Leaf Bakeries is fair, from a financial point of view, to the Corporation.

Prior Valuations

No prior valuations of Maple Leaf Bakeries have been conducted in 24 months preceding the date of this Circular.

FEES AND EXPENSES

Scotia Capital was retained by the Corporation to prepare the Valuations and the Fairness Opinion and will receive fees totalling Cdn. $425,000 in connection with the preparation of the Valuations and the Fairness Opinion.

The Corporation is expected to incur aggregate expenses totaling approximately Cdn. $1.6 million in connection with the Maple Leaf Bakeries Transaction, including the cost of the Valuations and the Fairness Opinion and legal, accounting and printing fees and expenses.

ADDITIONAL INFORMATION

Copies of the Corporation's latest annual information form (together with the documents incorporated therein by reference), the comparative financial statements of the Corporation for the financial year ended December 31, 2001, together with a report of the auditors thereon, the management's discussion and analysis of the Corporation's financial condition and results of operations for the financial year ended December 31, 2001, the interim financial statements of the Corporation for the period ending September 30, 2002 and this Circular are available for review at the head office of the Corporation located at 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7, and for delivery without charge upon request from the Corporation.

DIRECTORS APPROVAL

The contents of this Circular and the sending thereof to the Shareholders have been approved by the Board of Directors.

Appendix "A"

Resolution Authorizing the Maple Leaf Bakeries Transaction

WHEREAS Canada Bread Company, Limited (the "Corporation") entered into an agreement dated November 13, 2002 (the "UK Purchase Agreement") providing for the acquisition by a wholly-owned subsidiary of the Corporation of the direct or indirect interest, as the case may be, of Maple Leaf Foods Inc. ("Maple Leaf Foods") in Maple Leaf Bakery UK Limited and New York Bagel Co. Limited pursuant to two share purchase transactions;

AND WHEREAS the Corporation entered into an agreement dated November 13, 2002 (the "US Purchase Agreement") providing for the acquisition by an indirect wholly-owned subsidiary of the Corporation of all or substantially all of the assets, property and undertaking of the business currently operated by Maple Leaf Bakery Inc. ("MLB US"), a wholly-owned subsidiary of Maple Leaf Foods, pursuant to an asset purchase transaction;

AND WHEREAS the Corporation entered into an agreement dated November 13, 2002 (the "Grace Purchase Agreement", and together with the UK Purchase Agreement and the US Purchase Agreement, the "Agreements") providing for the acquisition by a wholly-owned subsidiary of the Corporation of the interest of Maple Leaf Foods in Grace Baking Company pursuant to a share purchase transaction;

NOW THEREFORE be it resolved that:

1. The Maple Leaf Bakeries Transaction as described in the Corporation's management information circular dated November 13, 2002 be and is hereby authorized and approved;
2. Any director or officer of the Corporation be and is hereby authorized to approve any amendment or supplement to the terms and conditions of any of the Agreements as such officer or director may in his sole discretion consider necessary or desirable; and
3. The officers and directors of the Corporation or any one or more of them be and are hereby authorized and directed to execute such documents and instruments and to do such things as may be necessary or desirable to carry out the foregoing resolutions.

Appendix "B"

Valuations and Fairness Opinion

We refer to the Valuations and Fairness Opinion dated November 11, 2002 and addressed to the Independent Committee of the Board of Directors of Canada Bread Company, Limited (the ''Corporation'') in connection with the Corporation's proposed acquisition of the direct and indirect interests of Maple Leaf Foods Inc. in Maple Leaf Bakeries (as such term is defined in the management information circular (the ''Circular'') of the Corporation dated November 13, 2002). We consent to the filing of the Valuations and Fairness Opinion with the applicable Canadian securities regulatory authorities and the inclusion of the Valuations, Fairness Opinion and a summary thereof in the Circular.

Signed:



Scotia Capital Markets Inc.

Scotia Capital Inc.
Scotia Plaza
40 King Street West
Box 4085, Station ''A''
Toronto, Ontario
Canada M5W 2X6



November 11, 2002

Independent Committee of Directors
Canada Bread Company, Limited
Attention: Mr. John L. Bragg, Chairman
c/o P.O. Box 220, 4881 Main Street
Oxford, NS B0M 1P0

To the Independent Committee:

Scotia Capital Inc. (''Scotia Capital'') understands that Canada Bread Company, Limited (''Canada Bread'') proposes to enter into definitive agreements (the ''Acquisition Agreements'') to acquire from Maple Leaf Foods Inc. (''Maple Leaf Foods'') substantially all of the assets of the business currently operated by Maple Leaf Bakery Inc. (''Maple Leaf Bakery U.S.''), and the shares of each of Maple Leaf Bakery U.K. Limited and New York Bagel Company Limited (''New York Bagel'', together with Maple Leaf Bakery U.K. Limited, ''Maple Leaf Bakery U.K.'') and Grace Baking Company, Inc. (''Grace Baking'', together with Maple Leaf Bakery U.S. and Maple Leaf U.K., the ''Subject Assets''). Maple Leaf Foods owns approximately 68% of the outstanding common shares of Canada Bread.

According to the terms of the Acquisition Agreements, Canada Bread will acquire the Subject Assets for aggregate consideration of approximately $262,400,000 plus the book value of certain trade payables and other current liabilities of the business currently operated by Maple Leaf Bakery U.S. (the ''Purchase Price''). The consideration to be paid by Canada Bread consists of approximately $60,000,000 in cash, $5,600,000 in the assumed current portion of long-term debt, and the assumption of the book value of the trade payables and other current liabilities of Maple Leaf Bakery U.S., with the balance in the form of a loan payable to Maple Leaf Foods (the ''Vendor Take-back Loan'') and promissory note payable to Maple Leaf Foods totalling approximately $196,800,000. The promissory note will mature on January 7, 2003, and will be repaid from funds drawn on the Vendor Take-back Loan. The foregoing and the related steps to effect the purchase by Canada Bread of the Subject Assets contemplated by the Acquisition Agreements are collectively referred to as the ''Transaction''. Scotia Capital understands that the Transaction constitutes a ''related party transaction'' within the meaning of Ontario Securities Commission Rule 61-501 and Policy QSC Q-27 of the Commission des valeurs mobilières du Québec (collectively, the ''Related Party Rules''), and is subject to the valuation requirements of such rules.

The terms of the Transaction will be more fully described in a management information circular and proxy statement (the ''Circular'') to be mailed to holders of Canada Bread common shares (''Canada Bread Shares'') in connection with a Special Meeting of shareholders of Canada Bread to be held in connection with the Transaction.

An independent committee of directors (the ''Independent Committee''), consisting of three directors of the board of directors of Canada Bread (the ''Board''), has been established to review the Transaction. The Independent Committee has retained Scotia Capital to provide advice and assistance to the Independent Committee in connection with the Transaction, including the preparation and delivery to the Independent Committee of valuations of the Subject Assets and the Vendor Take-back Loan in accordance with the requirements of the Related Party Rules (the ''Valuations'') as well as an opinion (the ''Fairness Opinion'') as to the fairness, from a financial point of view, to Canada Bread of the consideration being offered by Canada Bread to acquire the Subject Assets.

Engagement

Scotia Capital was formally engaged by the Independent Committee pursuant to an agreement between Canada Bread and Scotia Capital (the ''Engagement Agreement'') dated August 21, 2002, as amended on November 4, 2002. The terms of the Engagement Agreement provide for the payment of $425,000 to Scotia Capital for its financial advice and assistance in connection with the Transaction and for the provision of the Valuations and the Fairness Opinion. In addition, Scotia Capital is to be reimbursed for reasonable out-of-pocket expenses and to be indemnified by Canada Bread in respect of certain liabilities that may be incurred by Scotia Capital with respect to the Transaction. The financial advisory fee payable to Scotia Capital is not contingent in whole or in part on the outcome of the Transaction or on the conclusions reached in the Valuations or Fairness Opinion. Subject to the terms of the Engagement Agreement, Scotia Capital consents to the inclusion of the Valuations and Fairness Opinion, in their entirety, together with summaries thereof in form acceptable to Scotia Capital, in the Circular and to the filing thereof with the securities commissions or similar regulatory authorities in each province and territory of Canada, and with applicable securities regulatory authorities in the United States. Scotia Capital was not requested to, and has not performed any valuation or financial assessment of Canada Bread.

Credentials of Scotia Capital

Scotia Capital is one of Canada's largest investment banking firms with operations in all facets of corporate and government finance, mergers and acquisitions, equity and fixed income sales and trading, and investment research. Scotia Capital has participated in a significant number of transactions involving private and public companies and has extensive experience in preparing valuations and fairness opinions.

Scotia Capital's parent, The Bank of Nova Scotia, is one of North America's premier financial institutions and Canada's most international bank. With 49,000 employees, Scotiabank Group and its affiliates serve about 10 million customers in some 50 countries around the world. Scotiabank Group has C$300 billion in assets (as at July 31, 2002) and trades on the Toronto, New York and London Stock Exchanges.

The opinion expressed herein represents the opinion of Scotia Capital and the form and content thereof has been approved for release by a committee of directors and other professionals of Scotia Capital, each of whom is experienced in mergers and acquisitions and valuation matters. Before releasing its Valuations, Scotia Capital undertakes a rigorous quality review process, including, among other things: (i) conducting comprehensive, appropriate due diligence with respect to the subject matter of the Valuations as well as the terms of the Transaction; and (ii) a formal review and approval of the Valuations by a valuation committee consisting of the most senior, experienced professionals in the firm with respect to valuation and fairness opinion matters, supplemented by appropriate individuals with industry and capital markets expertise where these perspectives are required. The members of the valuation committee are drawn from professionals not specifically involved in the Transaction.

The Valuations have been prepared in accordance with the disclosure standards for formal valuations of the Investment Dealers Association of Canada but the Association has not been involved in the preparation or review of the Valuations.

Independence of Scotia Capital

Neither Scotia Capital nor its affiliates is an insider, associate or affiliate (as those terms are defined in the *Securities Act* (Ontario)) of Canada Bread or Maple Leaf Foods or any of their respective associates or affiliates. Scotia Capital has not provided any financial advisory services or participated in any financing involving Canada Bread, Maple Leaf Foods or any of their respective associates or affiliates within the past two years, of a material nature, other than the services provided under the Engagement Agreement or identified hereunder. Scotia Capital was first contacted in respect of the Valuations and the Fairness Opinion on July 30, 2002.

Scotia Capital is a member of a syndicate of financial institutions providing credit facilities to Maple Leaf Foods, and provides Maple Leaf Foods with certain foreign exchange and interest rate hedging services. The fees received by Scotia Capital under the Engagement Agreement together with fees received by its affiliates in connection with the above credit arrangement and hedging activities, are not material to Scotia Capital or its affiliates.

There are no understandings, agreements or commitments between Scotia Capital and Canada Bread or Maple Leaf Foods or any of their respective associates or affiliates with respect to any future business

dealings. Scotia Capital may, in the future, in the ordinary course of its business, perform financial advisory or investment banking services for Canada Bread or Maple Leaf Foods or for any of their respective associates or affiliates. Scotia Capital does not believe that any of these relationships affect Scotia Capital's independence with respect to the Valuations or the Fairness Opinion.

Scotia Capital acts as a trader and dealer, both as principal and agent, in major financial markets and, as such, may have had and may in the future have positions in the securities of Canada Bread or Maple Leaf Foods or any of their respective associates or affiliates and, from time to time, may have executed or may execute transactions on behalf of such companies or clients for which it received or may receive compensation. As an investment dealer, Scotia Capital conducts research on securities and may, in the ordinary course of its business, provide research reports and investment advice to its clients on investment matters, including with respect to Canada Bread or Maple Leaf Foods or any of their associates or affiliates, or with respect to the Transaction.

Scope of Review

In connection with the Valuations and the Fairness Opinion, Scotia Capital has reviewed and relied upon or carried out, among other things, the following:

1. A draft of the asset purchase agreement in respect of the acquisition of the shares of Maple Leaf Bakery U.S. dated November 11, 2002;
2. A draft of the share purchase agreement in respect of the acquisition of the shares of Maple Leaf Bakery U.K. dated November 10, 2002;
3. A draft of the share purchase agreement in respect of the acquisition of the shares of Grace Baking dated November 7, 2002;
4. A draft of the non-competition agreement between Maple Leaf Foods and Canada Bread dated November 11, 2002;
5. A draft of the trade-mark license agreement between Maple Leaf Foods and Canada Bread dated November 11, 2002;
6. A draft of the combined representations agreement between Maple Leaf Foods and Canada Bread dated November 11, 2002;
7. A draft of the credit agreement between Canada Bread and Maple Leaf Foods outlining the terms of the Vendor Take-back Loan dated November 7, 2002;
8. A draft of the promissory note to be issued by Canada Bread in connection with the Transaction;
9. A draft of the Circular and notice of Special Meeting of Canada Bread shareholders dated November 11, 2002;
10. Term sheet outlining the principal terms of the Transaction dated October 1, 2002;
11. Term sheet outlining the principal terms of the Vendor Take-back Loan dated October 7, 2002;
12. Confidential information memorandum for Maple Leaf Bakery U.S. and Maple Leaf Bakery U.K. (collectively, ''Maple Leaf Bakery'') dated August 2002;
13. Presentation to the Independent Committee by Maple Leaf Foods dated August 21, 2002, which contained, among other things, five-year operating forecasts for Maple Leaf Bakery U.S. and Maple Leaf Bakery U.K.;
14. Unaudited financial statements of Maple Leaf Bakery U.S. for the fiscal years ended December 1997, 1998, 1999, 2000 and 2001, and for the six, eight and nine months ended June 30, 2002, August 31, 2002, and September 30, 2002, respectively;
15. Unaudited financial statements of Maple Leaf Bakery U.K. for the six, eight and nine months ended June 30, 2002, August 31, 2002, and September 30, 2002, respectively;
16. Revised fiscal year 2002 forecasts and fiscal year 2003 budgets for Maple Leaf Bakery U.S. and Maple Leaf Bakery U.K. dated October 31, 2002;
17. Unaudited income statements of Maple Leaf Bakery U.K. for the fiscal years ended December 1998, 1999, 2000 and 2001;

18. Budget presentation reports of Maple Leaf Bakery U.S. for the fiscal years ended December 2000, 2001 and 2002;
19. Sales analysis of Maple Leaf Bakery U.S. summarizing sales by product line and customers for the fiscal years ended December 1999, 2000 and 2001;
20. Capital expenditures summary of Maple Leaf Bakery U.S. for the fiscal years ended December 1997, 1998, 1999, 2000 and 2001;
21. Production reports of Maple Leaf Bakery U.S. for the fiscal years ended December 1999, 2000 and 2001;
22. Sales and gross profit analysis of Maple Leaf Bakery U.S. for the fiscal years ended December 1998, 1999, 2000 and 2001, and for the four months ended April 2002;
23. AIB International Food Safety Survey Report dated September 24, 2001, in respect of the Roanoke, Virginia plant;
24. AIB International Food Safety Survey Report dated March 22, 2002, in respect of the Oxnard, California plant;
25. AIB International Food Safety Survey Report dated August 23, 2002, in respect of the Oxnard, California plant;
26. Analysis of the 2001 Maple Leaf Bakery U.S. plant expansion in Roanoke, Virginia;
27. Maple Leaf Bakery U.S. plant efficiency report dated June 2002;
28. Maple Leaf Bakery U.S. factory utilization report dated June 2002;
29. Tax returns of Maple Leaf Bakery U.S. for the fiscal years ended December 1998, 1999, 2000 and 2001;
30. Tax schedules in respect of Maple Leaf Bakery U.K. for the fiscal year ended December 2001;
31. Phase I environmental site assessment report of the Franklin Park, Illinois facility dated January 2002;
32. Presentation dated August 2001 to the board of directors of Maple Leaf Foods regarding the acquisition of New York Bagel Company Limited (''New York Bagel'') by Maple Leaf Bakery U.K.;
33. Confidential information memorandum in respect of New York Bagel dated September 1999;
34. Audited financial statements of New York Bagel for the fiscal year ended March 31, 2000;
35. Due diligence reports prepared by Acorn Corporate Finance in respect of the acquisition of New York Bagel dated June 2001 and July 2001;
36. Financial forecast of New York Bagel prepared by Maple Leaf Foods and dated January 2001;
37. Presentation dated September 4, 2002, to the board of directors of Maple Leaf Foods regarding the acquisition of Grace Baking by Maple Leaf Bakery U.S.;
38. Confidential information memorandum in respect of Grace Baking dated June 2002;
39. Various analyses and reports representing the bulk of Maple Leaf Foods' due diligence documents in respect of its acquisition of Grace Baking;
40. Financial forecast of Grace Baking prepared by Maple Leaf Foods and extending to December 2012;
41. Copy of a share purchase agreement between Maple Leaf Foods, Fred L. Doar III, Cynthia Mitchell and Glenn Mitchell in respect of the acquisition of Grace Baking by Maple Leaf Foods dated October 4, 2002;
42. Various discussions with senior management of Maple Leaf Bakery in the context of developing detailed financial projections, among other things;
43. Officer's certificates dated November 11, 2002, from senior officers of Maple Leaf Foods (the ''Officer's Certificates'') attesting to, among other things, the accuracy and completeness of the information provided to Scotia Capital upon which the Valuations and the Fairness Opinion are based;

44. Public information relating to Canada Bread filed with provincial securities regulators, including the 2000 and 2001 annual reports, and the 2001 annual information form;

45. Credit agreement between Canada Bread, National Bank of Canada, Rabobank Nederland Canadian Branch, Bank of Tokyo-Mitsubishi (Canada), The Toronto-Dominion Bank and La Caisse centrale Desjardins du Québec dated July 12, 2001 (the ''National Bank Credit Facility'');

46. Additional information required in respect of the Valuation of the Vendor Take-back Loan;

47. Public information relating to the business, operations, financial performance and stock trading history of selected public companies considered relevant;

48. Public information with respect to certain other transactions of a comparable nature considered relevant;

49. Tours of Maple Leaf Bakery U.S. production facilities in Roanoke, Virginia and Oxnard, California; and

50. Such other corporate, industry, and financial market information, investigations and analyses as we considered necessary or appropriate in the circumstances.

Scotia Capital has not, to the best of its knowledge, been denied access by Canada Bread, Maple Leaf Bakery or Maple Leaf Foods or any of their respective associates or affiliates to any information requested by Scotia Capital.

Prior Valuations

Senior officers of Maple Leaf Foods have represented to Scotia Capital, in separate certificates delivered as of the date hereof, that, to the best of their knowledge, there have been no prior valuations (as defined in Ontario Securities Commission Rule 61-501) of Maple Leaf Bakery or any of its respective material properties or subsidiaries made in the preceding 24 months.

Assumptions and Limitations

With the Independent Committee's approval and as provided for in the Engagement Agreement, Scotia Capital has relied upon, without independent verification, all financial and other information that was obtained by us from public sources or that was provided to us by Canada Bread, Maple Leaf Bakery, or Maple Leaf Foods, or any of their respective associates, affiliates, advisors or otherwise. Subject to the exercise of our professional judgment, we have assumed that this information is complete and accurate and does not omit to state any material fact or any fact necessary to be stated to make this information not misleading. The Valuations and the Fairness Opinion are conditional upon such completeness and accuracy. In accordance with the terms of our engagement, but subject to the exercise of our professional judgment, we have not conducted any independent investigation to verify the completeness or accuracy of this information. With respect to the financial forecasts, projections, estimates or other forward-looking information provided to us and used in our analysis, we have assumed that they have been prepared using the assumptions identified therein, which in the reasonable opinion of Canada Bread and Maple Leaf Foods, as the case may be, are (or were at the time of preparation) reasonable in the circumstances. Senior officers of Maple Leaf Foods and Maple Leaf Bakery have represented to us, in the Officers' Certificates, amongst other things: (i) that, with the exception of forecasts, projections and estimates, the information, opinions and other materials (the ''Information'') provided to us by or on behalf of Maple Leaf Bakery was, to the best of their knowledge, complete and accurate in all material respects as at the date the Information was prepared or provided to us; and (ii) that, since the date of the Information, there have been no changes in material facts or new material facts which have not been disclosed to Scotia Capital or updated by more current information or data disclosed. Senior officers of Maple Leaf Foods, Maple Leaf Bakery and Canada Bread also represented to us, in the Officers' Certificates, that Information which constitutes forecasts, projections or estimates was prepared using assumptions which in their respective opinions were reasonable in the circumstances.

The Valuations and the Fairness Opinion are based upon the securities markets, economic, general business and financial conditions prevailing as at the date hereof, and the conditions and prospects, financial and otherwise of Maple Leaf Bakery, as they were reflected in the Information reviewed by us. In its analysis and in preparing the Valuations, Scotia Capital has made numerous assumptions with respect to industry performance, general business and economic conditions, credit markets and other

matters, many of which are beyond the control of Scotia Capital, Canada Bread, Maple Leaf Bakery, or Maple Leaf Foods or any of their respective associates or affiliates.

The Valuations and the Fairness Opinion have been provided for the use of the Independent Committee and the Board and for inclusion in the Circular and may not be used by any other person or relied upon by any other person without the express written consent of Scotia Capital. The Valuations and the Fairness Opinion are given as of the date hereof and Scotia Capital disclaims any undertaking or obligation to advise any person of any change in any fact or matter affecting the Valuations or the Fairness Opinion which may come or be brought to Scotia Capital's attention after the date hereof. Without limiting the foregoing, in the event that there is any material change in any fact or matter after the date hereof, Scotia Capital reserves the right to, at any time prior to the completion of the Transaction, change, modify or withdraw the Valuations and the Fairness Opinion.

Scotia Capital believes that its analyses must be considered as a whole and that selecting portions of its analyses and specific factors, without considering all factors and analyses together, could create a misleading view of the considerations underlying the Valuations and the Fairness Opinion. The preparation of a valuation is a complex process and is not necessarily susceptible to partial analyses or summary description. Any attempt to do so could lead to undue emphasis on any particular factor or analysis.

Definition of Fair Market Value

For the purposes of the Valuations, fair market value is defined as the highest price, expressed in terms of money or money's worth, available in an open and unrestricted market between informed and prudent parties, each acting at arm's length, where neither party is under any compulsion to act. Fair market value of the Subject Assets corresponds to the en bloc value of the Subject Assets as of the date hereof.

Valuation — The Subject Assets

Overview of Maple Leaf Bakery Inc.

Maple Leaf Bakery U.S. is a leading supplier of frozen private label and branded par-baked bread, rolls and bagels in the United States. Par-baked goods are ''partially'' baked, flash frozen, and then shipped to customers. Customers simply ''finish'' the products to make ''just baked'' products. Par-baked products allow retailers and foodservice organizations to offer a higher quality, more consistent product to their customers without the traditional requirements for skilled labour and a large capital investment. Significant growth is expected in this sector as par-baked products continue to take market share away from other baking processes.

Maple Leaf Bakery U.S. was formed in 1995 and currently employs over 380 people. Its operations are carried out in two strategically located facilities: Roanoke, Virginia (130,000 square feet), and Oxnard, California (96,000 square feet). The Roanoke, Virginia facility is situated within one day's truck travel of 52% of the United States population. An expansion of the Roanoke plant was completed in 2001 at a total cost of approximately US$12 million. Maple Leaf Bakery U.S. also maintains a head office in Chicago, Illinois, which operates the sales, finance, human resources and administrative functions. A third manufacturing facility in Franklin Park, Illinois was closed in 2001.

Historical Financial Information of Maple Leaf Bakery Inc.

	Six Months Ended June 30, 2002	Fiscal Year Ended Dec. 31, 2001	Fiscal Year Ended Dec. 31, 2000
		Unaudited (US$ thousands)	
Gross Sales	$63,044	$118,998	$111,511
EBITDA (1)	$ 7,547	$ 13,182	$ 7,991
Income Before Income Taxes	$ 1,672	$ (580)	$ (5,556)
Net Income (2)	$ 1,020	$ (354)	$ (3,389)
Cash Flow from Operations (3)	$ 4,488	$ 7,291	$ 3,018

	As at June 30, 2002	As at Dec. 31, 2001	As at Dec. 31, 2000
Net Non-Cash Working Capital (4)	$ 1,619	$ 2,147	$ (5,646)
Total Assets	$98,019	$99,324	$ 97,661
Long-Term Debt (5)	$ 0	$ 0	$ 0
Shareholders' Equity (5)	$83,392	$84,838	$ 76,693

(1) Earnings before interest, taxes, depreciation and amortization excluding one-time gains and restructuring charges.

(2) Before unusual items.

(3) Cash flow from operations before changes in non-cash working capital.

(4) Current assets less current liabilities excluding cash, bank indebtedness, and current portion of long-term debt.

(5) Amount due to associated company treated as part of shareholders' equity.

Overview of Maple Leaf Bakery U.K. Limited and New York Bagel Company Limited

Maple Leaf Bakery U.K. was formed in 1998 to develop and capitalize on the growing bagel market in the United Kingdom. Maple Leaf Bakery U.K. has developed solid relationships with the four dominant grocery store chains and produces over 90% of the bagels produced in the United Kingdom. Its operations are carried out in two facilities both located in England: Rotherham (12,000 square feet) and Peterborough (60,000 square feet). Maple Leaf Bakery U.K. ascended to its dominant market position through its September 2001 acquisition of New York Bagel, which remains the leading branded bagel producer in the United Kingdom.

Historical Financial Information of Maple Leaf Bakery U.K.

	Six Months Ended June 30, 2002	Fiscal Year Ended Dec. 31, 2001	Fiscal Year Ended Dec. 31, 2000
		Unaudited (GBP£ thousands)	
Gross Sales	£ 6,554	£ 5,161	£1,770
EBITDA (1)	£ 1,012	£ 706	£ 211
Income Before Income Taxes	£ 691	£ 567	£ 93
Net Income (2)	£ 591	£ 359	£ (3)
Cash Flow from Operations (3)	£ 760	£ 1,525	£ 267

	As at June 30, 2002	As at Dec. 31, 2001	As at Dec. 31, 2000
Net Non-Cash Working Capital (4)	£(2,287)	£ 1,477	£ (47)
Total Assets	£17,517	£10,598	£1,277
Long-Term Debt (5)	£ 0	£ 0	£ 0
Shareholders' Equity (5)	£ 7,409	£ 7,673	£1,111

(1) Earnings before interest, taxes, depreciation and amortization excluding one-time gains and restructuring charges.

(2) Before unusual items.

(3) Cash flow from operations before changes in non-cash working capital.

(4) Current assets less current liabilities excluding cash, bank indebtedness, and current portion of long-term debt.

(5) Amount due to associated company treated as part of shareholders' equity.

Overview of Grace Baking Company, Limited

Grace Baking is one of the three leading ''Artisan'' baking companies in the United States and holds the number one market position in the San Francisco Bay Area. Artisan bread is a premium product, usually made in a traditional European style, with a crunchy crust and soft, somewhat chewy interior. Artisan bread is expected to be a high growth segment of the bread market. Grace Baking produces over 20 different types of Artisan breads from its 57,800 square foot facility in Richmond, California. In 2000, Grace Baking started selling par-baked frozen bread products to major supermarket chains and warehouse club stores in various locations throughout the United States. Maple Leaf Foods acquired Grace Baking on October 4, 2002, for aggregate consideration of US$26 million (approximately C$41 million).

Historical Financial Information of Grace Baking Company, Limited

	Six Months Ended June 30, 2002	Fiscal Year Ended Dec. 31, 2001	Fiscal Year Ended Dec. 31, 2000
		Unaudited (US$ thousands)	
Gross Sales	$8,225	$13,486	$10,546
EBITDA (1)	$ 904	$ 1,235	$ (181)
Income Before Income Taxes	$ 511	$ 397	$ (872)
Net Income	$ 309	$ 255	$ (541)
Cash Flow from Operations (2)	£ 497	$ 599	$ (76)

	As at June 30, 2002	As at Dec. 31, 2001	As at Dec. 31, 2000
Net Non-Cash Working Capital (3)	$ (300)	$ 68	$ (23)
Total Assets	$6,522	$ 5,798	$ 5,432
Long-Term Debt (4)	$3,698	$ 4,070	$ 4,019
Shareholders' Equity	$ 949	$ 640	$ 385

(1) Earnings before interest, taxes, depreciation and amortization excluding one-time gains and restructuring charges.

(2) Cash flow from operations before changes in non-cash working capital.

(3) Current assets less current liabilities excluding cash, bank indebtedness, and current portion of long-term debt.

(4) Includes obligations under capital lease.

Valuation Methodologies

Scotia Capital valued Maple Leaf Bakery on a going-concern basis using the following methodologies:

(i) Discounted cash flow (''DCF'') approach;

(ii) Comparable transactions approach; and

(iii) Comparable trading approach.

Scotia Capital limited its analysis of Grace Baking due to the recent nature of the Grace Baking acquisition, the relative value of Grace Baking to the Transaction as a whole, and the fact that the $41,000,000 paid by Maple Leaf Foods to acquire Grace Baking (the ''Grace Baking Purchase Price'') represents the culmination of negotiations between informed and prudent parties, each acting at arm's length. Based upon the foregoing, Scotia Capital accepted the Grace Baking Purchase Price as a reliable benchmark for the en bloc enterprise value of Grace Baking. In support of its valuation approach, Scotia Capital discussed the prospects of Grace Baking with senior management of Maple Leaf Bakery and reviewed various documents, including the confidential information memorandum in respect of Grace Baking dated June 2002 and the principal documents constituting Maple Leaf Foods' due diligence file on Grace Baking.

Discounted Cash Flow Approach

In applying the DCF approach to value the Subject Assets, Scotia Capital calculated the en bloc enterprise value of each of Maple Leaf Bakery U.S. and Maple Leaf Bakery U.K., following which certain adjustments were made to determine the en bloc enterprise value of the Subject Assets.

The DCF approach takes into account the amount, timing and relative certainty of projected unlevered after-tax free cash flows (''UFCFs'') expected to be generated by Maple Leaf Bakery U.S. and Maple Leaf Bakery U.K., respectively. The DCF approach requires that certain assumptions be made regarding, among other things, future UFCFs, discount rates and terminal values. The DCF approach employed involved discounting to a present value the UFCFs of Maple Leaf Bakery U.S. and Maple Leaf Bakery U.K. from September 1, 2002, to December 31, 2011, including terminal values determined as at December 31, 2011, and then making adjustments to produce a range of values as at the date hereof. The forecasts were prepared in U.S. dollars and U.K. pounds sterling for Maple Leaf Bakery U.S. and Maple Leaf Bakery U.K., respectively. The values determined by the DCF approach were converted into Canadian dollars at the current exchange rates.

Principal Assumptions

As part of the analyses and investigations carried out in the preparation of the Valuation of the Subject Assets, Scotia Capital reviewed the five-year business plan prepared by management of Maple Leaf Bakery (the ''Maple Leaf Bakery Business Plan''), as updated. Scotia Capital also reviewed, among other things, certain historical financial and operating information with respect to Maple Leaf Bakery including, among other things, production levels and sales volumes, gross margins, processing costs, and capital expenditures. In addition, Scotia Capital also reviewed information regarding historical per capita bread consumption in Canada, foreign exchange rates, sales volumes to retail and foodservice accounts, and the general state of competition in the U.S. par-baked and U.K. bagel industries.

Based upon such review and detailed discussions with management of Maple Leaf Bakery, Scotia Capital developed for the purposes of the DCF approach its own independent view of the projected UFCFs of Maple Leaf Bakery U.S. (the ''Maple Leaf Bakery U.S. Forecast'') and Maple Leaf Bakery U.K. (the ''Maple Leaf Bakery U.K. Forecast'', collectively the ''Maple Leaf Bakery Forecast''). Scotia Capital generally accepted the assumptions underlying the Maple Leaf Bakery Business Plan except with respect to: (i) production and sales volumes for Maple Leaf Bakery U.S.; (ii) production and sales volumes for Maple Leaf Bakery U.K.; (iii) growth in manufacturing overhead costs for Maple Leaf Bakery U.S.; and (iv) capital expenditures of Maple Leaf Bakery U.S. Scotia Capital also reflected the value of the tax shield arising from the structuring of the acquisition of Maple Leaf Bakery U.S. as an asset transaction. The principal considerations underlying the different assumptions between the Maple Leaf Bakery Forecast and the Maple Leaf Bakery Business Plan are outlined below. For years beyond the term of the Maple Leaf Bakery Business Plan (i.e. 2007-2011), Scotia Capital reviewed long-term industry trends and held general discussions with the management of Maple Leaf Bakery. Scotia Capital extended the forecast period to ten years to take into consideration certain long-term trends that would impact results beyond the five-year period covered by the Maple Leaf Bakery Business Plan.

Production and Sales Volumes of Maple Leaf Bakery U.S.

In forecasting sales volumes, Scotia Capital reviewed and considered, among other things, the level of production that the Roanoke and Oxnard plants can sustain without incurring additional expansionary capital expenditures, the expected growth of the market for par-baked bread in the United States, the risk that competitors will capture market share from Maple Leaf Bakery U.S., the expected conversion of retail in-store bakeries from scratch baking to par-baked products, and certain existing and future contract awards expected from clients in the retail and foodservice sectors. The Maple Leaf Bakery U.S. Forecast represents materially lower production and sales volumes than the Maple Leaf Bakery Business Plan for the period 2003 to 2006. Although Scotia Capital agrees with management that the growth potential of Maple Leaf Bakery U.S. is strong and that the Maple Leaf Bakery Business Plan may be achieved, we believe that in the context of an auction process, third party buyers would discount the management sales growth forecasts. The adjustment Scotia Capital made to sales volume for the remainder of fiscal year 2002 are relatively immaterial and reflect the fact that sales volumes are only 0.77% below budget for the six months ended June 30, 2002.

Production and Sales Volumes of Maple Leaf Bakery U.K.

In forecasting sales volumes, Scotia Capital reviewed and considered, among other things, the level of production that the Rotherham and Peterborough plants can sustain without incurring additional expansionary capital expenditures, the expected growth of the market for bagels in the United Kingdom, the risk that competitors will capture market share from Maple Leaf Bakery U.K., the expected growth of cereal bars in the breakfast segment, the growing popularity of low carbohydrate diets in the U.K., and the prospects of a significant shift in consumer eating habits in favour of bagels. The Maple Leaf Bakery U.K. Forecast reflects lower production and sales volumes than the Maple Leaf Bakery Business Plan.

Manufacturing Overhead Costs of Maple Leaf Bakery U.S.

As outlined further below, Scotia Capital has reflected the addition of one production line in the Roanoke facility to accommodate anticipated volume growth. Based on discussions with Maple Leaf Bakery management, the addition of the new production line is expected to increase manufacturing overhead at the facility by approximately 12%-15%, beginning in the year in which the new line is added. Scotia Capital has adjusted the Maple Leaf Bakery U.S. Forecast to reflect this estimate.

Capital Expenditures of Maple Leaf Bakery U.S.

The Maple Leaf Bakery Business Plan calls for the addition of one production line at the Roanoke facility in 2004 and the addition of a second line in 2005. Each line is expected to cost approximately US$10.5 million. To remain consistent with the lower volume growth assumptions of the Maple Leaf Bakery U.S. Forecast, Scotia Capital has assumed that only the first production line is added in 2004.

Structural Tax Shield Value

The acquisition of Maple Leaf Bakery U.S. is structured as an acquisition of assets. As such, Canada Bread will be entitled to claim a tax deduction for the write-off of goodwill arising from the transaction. Scotia Capital has reflected the value of this incremental tax deduction in the value assigned to Maple Leaf Bakery U.S.

Ongoing Transactions Between Maple Leaf Bakery U.S. and Canada Bread

Maple Leaf Bakery U.S. currently sources approximately 30% of its products from Canada Bread. These products are produced by Canada Bread in its Canadian facilities and shipped directly to Maple Leaf Bakery U.S. customers located in proximity to the Canada-U.S. border. Maple Leaf Bakery U.S. provides substantially all of the management services related to the sales and marketing of these products and is paid a commission for these services equal to 8.5% of total sales. Historically, Maple Leaf Bakery U.S. has transferred to Canada Bread the majority of the earnings, before interest and taxes (the ''EBIT Transfer'') earned by Maple Leaf Bakery U.S. on its sale of product sourced from Canada Bread. Both the Maple Leaf Bakery Business Plan and the Maple Leaf Bakery U.S. Forecast assume that Maple Leaf Bakery U.S. continues to source products from Canada Bread in the future. Either of Canada Bread or Maple Leaf Bakery U.S. may terminate the EBIT Transfer agreement by providing six months' notice to the other party.

The Maple Leaf Bakery U.S. Forecast — Financial Summary

A summary of the Maple Leaf Bakery U.S. Forecast prepared by Scotia Capital is provided below. All figures are based upon a twelve-month period ending December 31. The 2002 figures represent the estimates for the four months ended December 31, 2002.

	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011
					(US$000, except as noted)					
Sales Volume (000s cases)	3,497	11,443	12,012	12,390	12,706	13,087	13,480	13,884	14,301	14,730
Gross Margin per case	$ 2.56	$ 2.80	$ 2.93	$ 3.08	$ 3.14	$ 3.20	$ 3.26	$ 3.32	$ 3.38	$ 3.44
Gross Margin	$8,944	$32,071	$35,217	$38,127	$39,859	$41,879	$43,969	$46,131	$48,372	$50,695
EBITDA	$3,240	$14,486	$16,407	$18,813	$19,584	$20,581	$21,624	$22,716	$23,859	$25,054
Cash Taxes	$ 232	$ 2,586	$ 3,386	$ 4,143	$ 4,469	$ 4,877	$ 5,298	$ 5,732	$ 6,181	$ 6,647
Capital Expenditures	$1,667	$ 5,100	$16,236	$ 5,306	$ 5,412	$ 5,520	$ 5,631	$ 5,743	$ 5,858	$ 5,975
Inv. in Working Capital	$ (200)	$ 244	$ 99	$ 209	$ 151	$ 192	$ 200	$ 207	$ 215	$ 224
UFCFs	$1,541	$ 6,556	$(3,314)	$ 9,155	$ 9,552	$ 9,991	$10,496	$11,034	$11,604	$12,208

The Maple Leaf Bakery U.K. Forecast — Financial Summary

A summary of the Maple Leaf Bakery U.K. Forecast prepared by Scotia Capital is provided below. All figures are based upon a twelve-month period ending December 31. The 2002 figures represent the estimates for the four months ended December 31, 2002.

	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011
					(GBP£000, except as noted)					
Sales Volume (000s kg)	1,036	3,497	3,942	4,326	4,514	4,649	4,789	4,933	5,081	5,233
Gross Margin per kg	£ 1.13	£ 1.13	£ 1.11	£ 1.17	£ 1.20	£ 1.22	£ 1.23	£ 1.25	£ 1.27	£ 1.29
Gross Margin	£1,169	£ 3,954	£4,380	£5,055	£5,410	£5,676	£5,9094	£6,188	£6,476	£6,775
EBITDA	£ 657	£ 988	£2,795	£3,241	£3,461	£3,620	£ 3,747	£3,919	£4,099	£4,287
Cash Taxes	£ 172	£ 158	£ 647	£ 787	£ 857	£ 907	£ 946	£ 998	£1,051	£1,106
Capital Expenditures	£ 142	£ 2,071	£ 539	£ 550	£ 561	£ 572	£ 584	£ 596	£ 607	£ 620
Inv. in Working Capital	£ 636	£ (118)	£ 201	£ 76	£ 41	£ 31	£ 30	£ 33	£ 34	£ 36
UFCFs	£ (293)	£(1,123)	£1,407	£1,828	£2,002	£2,110	£ 2,187	£2,292	£2,406	£2,525

Discount Rates

Projected UFCFs of Maple Leaf Bakery U.S. and Maple Leaf Bakery U.K. were discounted based upon the estimated weighted average cost of capital (''WACC''). The WACC was chosen after determining, within a range of sensitivities, the appropriate cost of equity capital, after-tax cost of debt capital, and optimal capital structure of each business. In determining the appropriate cost of equity

capital, Scotia Capital utilized the capital asset pricing model (''CAPM'') which calculates the cost of equity capital with reference to the risk-free rate of return, the volatility of equity prices relative to a benchmark (''beta'') and equity market risk premiums. Scotia Capital selected an unlevered beta after reviewing the betas of selected public Canadian, U.S. and International bakery companies relative to the appropriate market benchmark. This unlevered beta was then relevered based upon the selected optimal capital structure. The cost of debt utilized is based upon the risk-free rate of return and an appropriate borrowing spread to reflect credit risk. The optimal capital structure was chosen based upon a review of the capital structures of publicly-traded bakery companies in North America and Europe, and is expressed using market values.

The assumptions used by Scotia Capital in calculating the WACC and the resulting range of discount rates are outlined below:

	Maple Leaf Bakery U.S.	Maple Leaf Bakery U.K.
Cost of Debt		
Risk-Free Rate (10-year U.S. or U.K. Treasuries)	3.7%	4.5%
Borrowing Spread	2.0%-3.0%	2.0%-3.0%
Long-Term Income Tax Rate	39.0%	30.0%
After-Tax Cost of Debt	3.6%-4.2%	4.6%-5.3%
Cost of Equity		
Risk-Free Rate (10-year U.S. or U.K. Treasuries)	3.7%	4.5%
Market Risk Premium (1)	7.8%	7.1%
Premium to Market Risk (2)	1.5%-1.8%	1.5%-1.8%
Optimal Capital Structure	70-80% Equity/20-30% Debt	70-80% Equity/20-30% Debt
Levered Beta	0.7x-1.0x	0.7x-1.0x
After-Tax Cost of Equity	10.6%-13.4%	11.0%-13.7%
Weighted Average Cost of Capital	9.2%-10.6%	9.67%-11.2%

(1) For Maple Leaf Bakery U.S., based upon U.S. data compiled by Ibbotson Associates, Inc. for the period 1926 to 2000; for Maple Leaf Bakery U.K., based upon U.K. data compiled by Ibbotson Associates, Inc. for the period 1970 to 2001.

(2) Represents the historical returns in excess of those predicted by beta for a portfolio of low market capitalization stocks. Based upon U.S. data compiled by Ibbotson Associates, Inc. for the period 1926 to 2000.

Based upon the foregoing and taking into account sensitivity analyses on each element of the WACC calculation, Scotia Capital selected a range of discount rates of 9.5%-10.5% for Maple Leaf Bakery U.S. and 9.75%-10.75% for Maple Leaf Bakery U.K.

Terminal Value

Scotia Capital relied upon both the capitalization in perpetuity of UFCFs and the application of enterprise value to earnings before interest, taxes, depreciation and amortization (''EBITDA'') multiples to calculate the value of Maple Leaf Bakery beyond December 31, 2011. The former approach capitalized terminal period UFCF at the WACC less a growth factor of 3.0% — 4.0%, while the latter approach estimated the terminal value by multiplying the 2011 EBITDA by a factor of 7.5 — 8.5 times. Both terminal year factors were determined by reference to, among other things, the long-term projected real growth rate in U.S. par-baked goods and U.K. bagel consumption, the level of expected inflation in the general economy, the long-term price expectations in the bakery industry, and the analyses of comparable transactions and trading values of comparable companies.

Sensitivity Analysis

As part of the DCF approach, Scotia Capital performed sensitivity analyses on certain key assumptions. The results of these sensitivities are outlined below:

Assumption	Impact on Valuation Range (C$ millions)
Marginal Profit Percentage: +/− 1.0%	$22
Sales Volumes: +/− 5.0%	$21
Discount Rate: +/− 0.5%	$10
Capital Expenditures: +/− 10%	$10
Terminal EBITDA Multiples: +/− 0.5x	$ 9
Terminal Growth Rate: +/− 0.5%	$ 7

En Bloc Value Considerations

Scotia Capital considered potential synergies that a third party could realize from the acquisition of the Subject Assets including, but not limited to, benefits arising from revenue enhancement, cost savings, capital expenditure reductions, and tax synergies.

In determining how much a third party purchaser would pay for the value of total synergies in the context of the sale of Maple Leaf Bakery in an open and unrestricted market, Scotia Capital reviewed industry participants to determine if any other synergistic purchasers exist. Based upon this review, Scotia Capital identified several strategic parties for which Maple Leaf Bakery would be a good fit. Despite the early growth stage of Maple Leaf Bakery, we believe it would not be a significant challenge to create a competitive bidding environment since: (i) par-baked baking products are enjoying robust growth in the U.S.; (ii) the Maple Leaf Bakery U.S. facilities are efficient and strategically located; (iii) Maple Leaf Bakery enjoys strong relationships with leading grocery chains; and (iv) Maple Leaf Bakery U.K. boasts a 90% market share in the United Kingdom bagel market.

Based upon discussions with the management of Maple Leaf Bakery, Scotia Capital is of the view that prospective purchasers could realize synergies following the acquisition Maple Leaf Bakery that are not reflected in the Maple Leaf Bakery Forecast. The most significant of these potential synergies is the ability of a third party buyer to terminate the EBIT Transfer agreement and produce internally some or all of the products currently being sourced from Canada Bread. Much of the potential EBIT Transfer synergy could be generated by increasing the manufacturing volume at the Roanoke and Oxnard facilities, which could enable Maple Leaf Bakery U.S. to allocate its fixed manufacturing costs across a broader production base. However, assessing the value of terminating the EBIT Transfer agreement is difficult for a number of factors, including, among others: (i) the incremental freight costs of shipping products from more distant plants are not readily discernible; (ii) Maple Leaf Bakery's current capacity constraints are significant, and the addition of production capacity in the U.S. could affect the overall cost structure; (iii) there may be an impact on Maple Leaf Bakery's sales should Canada Bread compete directly for U.S. sales; and (iv) it is difficult to determine third party outsourcing terms to meet demand beyond Maple Leaf Bakery's current capacity. Scotia Capital reviewed differential analyses prepared by Maple Leaf Bakery and undertook its own analysis focused on marginal profit. Scotia Capital also considered the value of the EBIT Transfer payments to Canada Bread. Based upon the foregoing, Scotia Capital determined that a third party buyer would be prepared to pay between $0 million and $20 million for such synergies.

In addition, Maple Leaf Bakery management identified approximately $2.8 million in annual cost synergies from combining Maple Leaf Bakery U.S. with Canada Bread. Scotia Capital concluded that a third party buyer would attribute little or no value to such cost synergies based on the following considerations, among others: (i) Maple Leaf Bakery already benefits from the cost savings inherent of a larger organization and significant improvements in margins are already reflected in our DCF analysis; (ii) Canada Bread itself would be the source of many of the synergies identified by Maple Leaf Bakery, and such synergies may not be available from a third party buyer; and (iii) negative synergies may result from replacing current shared services.

DCF Approach — En Bloc Valuation Summary

Based upon and subject to the foregoing, the DCF approach produces an enterprise value range for Maple Leaf Bakery U.S. and Maple Leaf Bakery U.K. of $183 million to $211 million and $52 million to

$60 million, respectively. Adjusting for a fair sharing of synergies, the DCF approach produces an en bloc enterprise value for Maple Leaf Bakery of $235 million to $271 million.

Comparable Transactions Approach

Scotia Capital reviewed available public information with respect to comparable precedent transactions in the bakery industry in North America and Europe. A selection of the transactions that were considered is provided below. When applying the comparable transactions approach, Scotia Capital considered enterprise value to EBITDA and enterprise value to revenue to be the primary valuation multiples.

Date	Target	Acquirer	Equity Value (1)	EV/ EBITDA (2)	EV/ Revenue (2)
September 2002	Grace Baking Company, Inc.	Maple Leaf Bakery	$ 20	11.2x	1.6x
January 2002	George Weston western operations	Grupo Bimbo	$ 610	10.9x	1.0x
October 2001	Multi-Marques (75%)	Canada Bread Co. Ltd.	$ 181	n/a	0.6x
July 2001	Earthgrains Co.	Sara Lee Corp.	$ 1,879	10.4x	1.1x
July 2001	New York Bagel	Maple Leaf Bakery	£7	8.6x	0.7x
February 2001	Bestfoods Baking Co.	George Weston Ltd.	$ 1,765	n/a	1.0x
February 2001	Pillsbury dessert business	International Multifoods	$ 316	n/a	0.6x
October 2000	Keebler Foods Co.	Kellogg Co.	$ 3,689	10.4x	1.6x
July 2000	Interstate Minority Stake	Interstate Bakeries	$ 1,261	5.9x	0.5x
July 2000	Unilever European bakery business	CSM NV	$ 700	n/a	0.8x
July 2000	Pillsbury	General Mills Inc.	$ 5,400	13.4x	1.7x
June 2000	Nabisco Holdings Corp.	Philip Morris Co. Inc.	$15,565	13.6x	2.2x
May 2000	Bestfoods	Unilever NV	$20,971	14.5x	2.7x
January 2000	Austin Quality Foods	Keebler Foods Co.	$ 250	n/a	1.3x
November 1999	Metz Baking Co.	Earthgrains Co.	$ 625	n/a	1.0x
August 1999	Culinar Inc.	Saputo Group Inc.	$ 280	8.6x	0.9x
September 1998	Heinz Bakery Products	Pillsbury	$ 178	n/a	0.9x
August 1998	President Baking	Keebler Cookies	$ 450	n/a	1.0x
March 1998	Mrs. Baird's Bakeries	Grupo Bimbo	$ 200	n/a	0.7x
March 1998	Grist Mill	International Home Foods Inc.	$ 110	9.0x	1.0x
November 1995	Keebler Foods Co.	INFLO Holdings Corporation	$ 488	5.1x	0.3x
January 1995	Continental Baking Corp.	Interstate Bakeries	$ 512	5.1x	0.2x
July 1994	Martha White Foods	Pillsbury Co	$ 170	n/a	1.1x

(1) Expressed in millions of target company's local currency.

(2) Enterprise value divided by trailing latest twelve months EBITDA or revenue, as appropriate.

Following such review, Scotia Capital concluded that the comparable transactions approach must be considered in the context of certain limitations, including, among others: (i) the transaction multiples are based on publicly available information which, for certain transactions, is incomplete; (ii) the multiples implied are based upon results which may be distorted by cyclical fluctuations in the underlying industry; (iii) the broad range of multiples may be indicative of the poor operating performance of some of the target companies; and (iv) over time, multiples and premiums paid in transactions can be influenced by general market sentiment and access to financing, among other things. In assessing the multiples paid in precedent transactions, Scotia Capital observed that the majority of comparable precedent transactions implied a multiple within a range of 9.0x-11.0x trailing EBITDA and 0.8x-1.1x trailing revenue.

Applying this multiple range to the trailing consolidated EBITDA and revenue of Maple Leaf Bakery produces an enterprise value range of $186 million to $227 million and $171 million to $235 million, respectively. Based on Scotia Capital's preference for the EBITDA valuation multiple approach, the

comparable transactions approach produces an implied enterprise value for Maple Leaf Bakery of $182 million to $229 million.

Comparable Trading Approach

Scotia Capital reviewed the trading multiples of North American and International public companies in the bakery industry for the purposes of valuing Maple Leaf Bakery. Following such review, Scotia Capital determined not to place significant weight on the comparable trading approach for a number of reasons including, among others: (i) most of the publicly traded companies operating in the bakery industry serve much broader markets than Maple Leaf Bakery and therefore have different growth prospects; (ii) trading multiples generally reflect minority discount values rather than en bloc values; (iii) trading multiples are based only on public information; and (iv) market trading multiples may incorporate short-term trading considerations as opposed to long-term determinants of value.

Acquisition of Grace Baking

On October 4, 2002, Maple Leaf Foods acquired Grace Baking, a privately owned manufacturer of fresh and frozen par-baked artisan breads. The total purchase price was US$26 million (approximately C$41 million), comprising of US$18 million in cash, US$2 million in a vendor take-back note and US$6 million in assumed debt.

The implied purchase price to trailing EBITDA is 11.2 times, which is at the upper end of the range of transactions typically witnessed in the bakery industry. The purchase price reflects both the growth prospects of Grace Baking and the potential revenue synergies from expanding Grace Baking's product offerings nationally. Scotia Capital understands that the acquisition of Grace Baking involved a full-auction process, with Maple Leaf Foods emerging as the selected purchaser. Based on our review of Maple Leaf Foods' due diligence documents in respect of Grace Baking and discussions with senior management of Maple Leaf Bakery, Scotia Capital has concluded that the purchase price paid by Maple Leaf Foods to acquire Grace Baking is reasonable.

Distinctive Material Value Accruing from the Transaction

In accordance with the Related Party Rules, Scotia Capital considered whether any distinctive material value would accrue to an ''interested party'' (as defined in the Related Party Rules) as a result of successfully completing the Transaction. Scotia Capital concluded that no distinctive material value would accrue to an ''interested party'' as a result of successfully completing the Transaction that has not already been taken into account in the Valuations.

Valuation Conclusion — The Subject Assets

Based upon and subject to the analyses and assumptions set out herein, Scotia Capital is of the opinion that, as at the date hereof, the fair market value of Maple Leaf Bakery is in the range of $210 million to $245 million. Including the fair market value of Grace Baking, Scotia Capital is of the opinion that, as at the date hereof, the fair market value of the Subject Assets is in the range of $251 million to $286 million.

Valuation — The Vendor Take-back Loan

Overview of the Vendor Take-back Loan

The Vendor Take-back Loan has a maximum face value of $215 million, which can be drawn both to fund the Transaction and for general corporate purposes. The full amount of the Vendor Take-back Loan is not expected to be drawn on the closing of the Transaction. The terms of the Vendor Take-back Loan, including its revolving nature, interest rates and leverage covenants, are substantially similar to those available to Canada Bread through the National Bank Credit Facility. The Vendor Take-back Loan matures one year from the date of drawing but may be extended, subject to certain conditions, for two additional one-year periods at the option of Canada Bread. The floating interest rate applicable to the Vendor Take-back Loan is determined quarterly by reference to certain Canada Bread leverage and capitalization ratios, and on a basis consistent with the National Bank Credit Facility. Interest is payable quarterly.

The Vendor Take-back Loan allows prepayments without penalties and permits Canada Bread to repay up to $20 million through the issuance of common shares of Canada Bread directly to Maple Leaf Foods. The issuance of shares directly to Maple Leaf Foods would require the approval of an independent committee of the board of directors of Canada Bread and would be based on the average closing Canada

Bread common share price for the ten business days immediately preceding the share issuance. In addition, the full amount of net proceeds received by Canada Bread pursuant to any issue of capital stock, warrants, rights offerings or funded debt must be applied to prepay the Vendor Take-back Loan. The Vendor Take-back Loan does not require periodic amortization payments or a sweep of cash available within Canada Bread.

Valuation Methodology

In determining the value of the Vendor Take-back Loan, Scotia Capital reviewed the financial terms for the Vendor Take-back Loan and compared such terms to the financial terms required by third party lenders in the current credit environment for similar credit facilities and similar borrowers. In general, Scotia Capital observed that the market for third party bank debt has tightened since Canada Bread negotiated the National Bank Credit Facility. More specifically, interest rate spreads have widened in the past fifteen months for similar facilities by approximately 50 basis points. Other differences in the financial terms included: the absence of any upfront fees on the Vendor Take-back Loan versus an expectation that acquisition financing of the nature contemplated in this Valuation typically would provide for commitment and drawdown fees in the range of 75 to 100 basis points; and the lack of any scheduled principal repayments until maturity on the Vendor Take-back Loan. Scotia Capital calculated the internal rate of return (''IRR'') implied by the financial terms required by third party lenders in the current environment and determined such IRR to be approximately 5.5%. Using the financial terms reflected in the Vendor Take-back Loan, Scotia Capital determined that, in order to achieve an equivalent IRR, the maximum value a third party lender would be prepared to pay for the Vendor Take-back Loan was $210 million.

Scotia Capital also reviewed other non-financial terms of the Vendor Take-back Loan and concluded that certain of such terms were more favourable to Canada Bread than those that would be obtained from banks or other institutional lenders. Non-market terms included, among other items: the ability for CanadaBread to repay up to $20 million using Canada Bread common shares; the absence of a cash sweep; and the fact that the Vendor Take-back Loan is a revolving credit facility which allows Canada Bread to draw on the facility for general corporate purposes. Scotia Capital determined that a third party lender would further discount the value of the Vendor Take-back Loan as a result of the non-market nature of certain of its non-financial terms.

Valuation Conclusion — The Vendor Take-back Loan

Based upon and subject to the analyses and assumptions set out herein, Scotia Capital is of the opinion that, as of the date hereof, the fair market value of the Vendor Take-back Loan is in the range of $200 million to $210 million.

Fairness Opinion

In considering the fairness from a financial point of view to Canada Bread of the consideration being offered by Canada Bread to acquire the Subject Assets, Scotia Capital considered and relied upon a number of factors, including, but not limited to, the following:

Terms of the Transaction

Consideration Paid to Maple Leaf Foods

Under the terms of the Transaction, Canada Bread will pay approximately $262 million to Maple Leaf Foods to acquire the Subject Assets. The purchase price of $225 million for Maple Leaf Bakery (the ''Maple Leaf Bakery Purchase Price''), assuming Grace Baking is acquired for its recent purchase price, is at the low end of the range determined by the DCF approach and at the high end of the range established by the precedent transactions approach, recognizing that the growth prospects of Maple Leaf Bakery are expected to exceed those typical targets in prior transactions. The Maple Leaf Bakery Purchase Price is below the midpoint of the Scotia Capital valuation range.

Terms of the Proposed Vendor Take-back Loan

The terms of the proposed Vendor Take-back Loan, including the restrictive covenants, are substantially similar to those available to Canada Bread through the National Bank Credit Facility but are more favourable to Canada Bread than would generally be expected in the current credit environment for similar credit facilities and similar borrowers. In addition, the face value of the Vendor Take-back Loan is above the high end of the valuation range determined by Scotia Capital.

The Vendor Take-back Loan incorporates certain attractive features, which enhance Canada Bread's financial flexibility, including: (1) no requirement for periodic amortization or cash sweep repayments; (2) the ability to repay up to $20 million in Canada Bread shares; (3) the revolving nature of the Vendor Take-back Loan; and (4) no upfront fees.

The resulting Canada Bread leverage would be higher than the average for comparable companies, but within the range of other companies operating in the bakery industry.

Corporate Governance

Maple Leaf Foods currently controls Canada Bread through its ownership of approximately 68% of the outstanding common shares of Canada Bread. The Transaction will leave unaltered the ownership structure, will simplify the management structure and will eliminate the potential for conflicts of interest resulting from the EBIT Transfer agreement.

Accretion/Dilution

Scotia Capital analyzed the impact of the Transaction on pro-forma earnings and operating cash flow per share, and noted that the Transaction would be immediately accretive to both measures. Scotia Capital took into account that the accretion, in the short term, is due entirely to the increased financial leverage brought about by the Transaction's financing structure. Some increase in Canada Bread's leverage may be appropriate on an industry comparative basis.

Risk Profile

In assessing the risk profile of Canada Bread and the sustainability and stability of the Canada Bread earnings, Scotia Capital observed that Canada Bread would benefit from, among other things: (i) broadening the geographic scope of Canada Bread's operations into the U.S. and the U.K.; (ii) diversifying Canada Bread's product and customer base; (iii) improving the growth profile of its product portfolio; and (iv) providing a platform for entry into the U.S. market.

Fairness Conclusion

Based upon and subject to the foregoing, Scotia Capital is of the opinion that, as at the date hereof, the consideration being offered by Canada Bread to acquire the Subject Assets is fair, from a financial point of view, to Canada Bread.

Yours very truly,

SCOTIA CAPITAL INC.

Appendix "C"

Audited Combined Financial Statements of Maple Leaf Bakeries as at and for the periods ended December 31, 2000 and December 31, 2001 and the Unaudited Combined Interim Financial Statements of Maple Leaf Bakeries as at and for the period ended September 30, 2002

AUDITORS' REPORT

To the Board of Directors of Maple Leaf Foods Inc.

We have audited the combined balance sheets of Maple Leaf Bakeries as at December 31, 2001 and 2000 and the combined statements of earnings (loss), retained deficit and cash flows for the years then ended. These financial statements are the responsibility of Maple Leaf Foods Inc.'s management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these combined financial statements present fairly, in all material respects, the financial position of Maple Leaf Bakeries as at December 31, 2001 and 2000 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.

KPMG LLP

Chartered Accountants

Toronto, Canada

October 30, 2002

MAPLE LEAF BAKERIES

COMBINED STATEMENTS OF EARNINGS (LOSS)

In thousands of Canadian dollars

	Nine Months ended September 30, 2002	Year ended December 31, 2001	Year ended December 31, 2000
	(unaudited)		
Sales	$169,570	$192,304	$166,620
Earnings (loss) from operations (note 3)	8,213	5,720	(11,110)
Other income (note 9)	—	—	2,304
Earnings (loss) before interest and income taxes	8,213	5,720	(8,806)
Interest expense	5,540	10,709	9,418
Earnings (loss) before income taxes	2,673	(4,989)	(18,224)
Income taxes	609	(3,349)	(3,561)
Net earnings (loss) for the period	$ 2,064	$ (1,640)	$(14,663)

The accompanying notes to the combined financial statements are an integral part of this statement.

MAPLE LEAF BAKERIES

COMBINED BALANCE SHEETS

In thousands of Canadian dollars

	As at September 30, 2002	As at December 31, 2001	As at December 31, 2000
	(unaudited)		
ASSETS			
Current assets:			
Cash	$ 3,282	$ 1,591	$ —
Accounts receivable	21,940	17,500	11,087
Receivable from related parties (note 12)	1,278	1,384	497
Inventories (note 4)	6,456	5,968	5,727
Prepaid expenses and other assets	625	752	679
	33,581	27,195	17,990
Property and equipment (note 5)	90,939	92,913	84,176
Other long-term assets	2,946	2,581	2,557
Future tax asset	13,595	13,851	8,140
Goodwill	53,227	52,817	37,782
	$194,288	$189,357	$150,645
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities:			
Bank indebtedness	$ —	$ —	$ 1,274
Accounts payable and accrued charges	29,236	22,092	24,630
Payable to related parties (note 12)	6,652	6,323	5,032
Current portion of long-term debt (note 6)	5,602	8,280	2,830
	41,490	36,695	33,766
Long-term debt (note 6)	100,755	103,361	140,540
Future tax liability	10,435	10,361	9,005
Shareholder's equity (deficit) (note 7)	41,608	38,940	(32,666)
	$194,288	$189,357	$150,645

Contingencies and Commitments (note 13)

The accompanying notes to the combined financial statements are an integral part of this statement.

MAPLE LEAF BAKERIES

COMBINED STATEMENTS OF CASH FLOWS

In thousands of Canadian dollars

	Nine Months ended September 30, 2002	Year Ended December 31, 2001	2000
	(unaudited)		
CASH PROVIDED BY (USED IN):			
Operating activities			
Net earnings for the period	$ 2,064	$ (1,640)	$(14,663)
Add (deduct) items not affecting cash:			
Depreciation	7,692	10,098	10,113
Amortization of goodwill	—	1,087	1,045
Future income taxes	336	(4,220)	(3,360)
Gain on sale of property and equipment	—	—	(738)
Other	(331)	—	(1,240)
Change in non-cash operating working capital	2,724	(7,177)	6,226
	12,485	(1,852)	(2,617)
Financing activities			
Increase (decrease) in long-term debt, net	(4,110)	22,370	7,129
	(4,110)	22,370	7,129
Investing activities			
Additions to property and equipment	(6,504)	(20,355)	(5,451)
Proceeds from sale of property and equipment	—	2,672	886
	(6,504)	(17,683)	(4,565)
Effect of Foreign Currency Translation on Cash Balances	(180)	30	(31)
Increase (decrease) in cash and cash equivalents	1,691	2,865	(84)
Cash and cash equivalents, beginning of period	1,591	(1,274)	(1,190)
Cash and cash equivalents, end of period	$ 3,282	$ 1,591	$ (1,274)
Supplementary Cash Flow Information			
Net interest paid	$ 145	—	—
Net income taxes paid	$ 114	$ 69	$ 329
Non-Cash Transactions			
Addition of New York Bagel (note 8)	—	$ 9,415	—
Conversion of long term debt to share capital (note 6)	—	$ 64,377	—

The accompanying notes to the combined financial statements are an integral part of this statement.

MAPLE LEAF BAKERIES

COMBINED STATEMENTS OF RETAINED DEFICIT

In thousands of Canadian dollars

	Nine Months ended September 30, 2002	Year ended December 31, 2001	Year ended December 31, 2000
	(unaudited)		
Retained deficit, beginning of period	$(52,075)	$(50,435)	$(28,405)
Net earnings (loss) for the period	2,064	(1,640)	(14,663)
Income tax benefit (note 10)	—	—	(7,367)
Retained deficit, end of period	$(50,011)	$(52,075)	$(50,435)

The accompanying notes to the combined financial statements are an integral part of this statement.

NOTES TO COMBINED FINANCIAL STATEMENTS

(Information as at September 30, 2002 and for the nine months ended September 30, 2002 is unaudited)
(Tabular amounts in thousands of Canadian dollars)

1. Basis of presentation

These combined financial statements have been specially prepared in connection with the proposed transaction between Canada Bread Company, Limited (''Canada Bread'') and Maple Leaf Foods Inc. (''Maple Leaf Foods''), whereby Canada Bread will indirectly purchase certain of Maple Leaf Foods' bakery operations, collectively referred to herein as ''Maple Leaf Bakeries'', by acquiring all of the issued and outstanding shares of each of Maple Leaf Bakery UK Limited (''MLB UK''), New York Bagel Co. Ltd. (''New York Bagel'') and Grace Baking Company (''Grace Baking''), which was purchased by Maple Leaf Foods in October, 2002, and acquiring substantially all of the assets of the business currently operated by Maple Leaf Bakery Inc. (''MLB US'') relating to the operation of its business of manufacturing, selling, distributing and marketing fresh, frozen and par-baked bakery products (the ''MLB US Business''), exclusive of certain tax assets. The Corporation will also assume the liabilities (other than tax liabilities and inter-corporate long term debt) of MLB US relating to the operation of the MLB US Business. These financial statements include the activities and results of operations of all of these entities for all periods presented other than Grace Baking, as it was acquired subsequent to the date of these financial statements, and New York Bagel, which is included only from the date of acquisition by Maple Leaf Foods in September, 2001, and includes all of the assets and liabilities of such entities, including assets and liabilities which are not included in the Canada Bread acquisition of assets of MLB US. These financial statements may not necessarily be indicative of the results that would have been attained if Maple Leaf Bakeries had been operated as a separate legal entity during the periods presented.

2. Significant accounting policies

The following are significant accounting policies of Maple Leaf Bakeries that were used in preparing these combined statements. The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(a) Principles of combination

The combined financial statements include the accounts of MLB US, MLB UK and New York Bagel. These combined financial statements present the combined financial position, operating results and cash flows of these entities as reported in the consolidated financial statements of Maple Leaf Foods. All significant intercompany balances and transactions have been eliminated.

(b) Translation of foreign currencies

The accounts of MLB US, MLB UK and New York Bagel are translated into Canadian dollars using the exchange rate in effect at the year-end for assets and liabilities and the average exchange rates for the year for revenue and expenses. Exchange gains or losses on translation are deferred and included as a separate component in shareholder's equity (deficit) until realized.

(c) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis.

(d) Property and equipment

Property and equipment are recorded at cost.

Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful life of the asset:

Buildings	3⅓%
Machinery and equipment	10% to 25%

(e) Goodwill

The excess of the purchase price over the estimated fair value of identifiable net assets acquired represents goodwill. For the years ended 2000 and 2001, goodwill was amortized on a straight-line basis over 40 years. Maple Leaf Bakeries annually reviews the carrying value of goodwill to determine if impairment has occurred. Maple Leaf Bakeries measures the potential impairment of goodwill by comparing the undiscounted value of expected future operating income before income taxes, interest and amortization of goodwill to the carrying value of goodwill. Any permanent impairment in the value of goodwill is written off against earnings.

In September 2001, the Canadian Institute of Chartered Accountants (''CICA'') issued Handbook Sections 1581 ''Business Combinations'' and 3062 ''Goodwill and Other Intangible Assets''. The new standards require the purchase method of accounting for business combinations and require that goodwill no longer be amortized but instead be tested for impairment at least annually. Maple Leaf Bakeries has adopted these new standards as of January 1, 2002 and has discontinued amortization of all existing goodwill. Effective July 1, 2001, goodwill arising on business combinations completed after June 30, 2001 was not amortized.

Effective January 1, 2002, Maple Leaf Bakeries had unamortized goodwill of $52.8 million which is no longer being amortized. This change in accounting policy was not applied retroactively and the amounts presented for prior periods have not been restated for this change.

(f) Income taxes

Maple Leaf Bakeries accounts for income taxes under the asset and liability method. Future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment or substantial enactment date.

(g) Statement of cash flows

Cash and cash equivalents are defined as cash and short-term securities with remaining maturities less than 90 days at the date of acquisition, less bank indebtedness.

3. Operating earnings

Included in the 2000 loss from operations is a $9.1 million provision for the closure of a baking facility in Chicago, Illinois.

4. Inventories

	September 30, 2002	December 31, 2001	December 31, 2000
	(unaudited)		
Raw materials	$2,765	$2,850	$3,389
Finished products	3,691	3,118	2,338
	$6,456	$5,968	$5,727

5. Property and equipment

	September 30, 2002	December 31, 2001	December 31, 2000
	(unaudited)		
Land	$ 4,094	$ 4,140	$ 3,893
Buildings	24,292	24,556	23,140
Machinery and equipment	105,898	87,125	86,749
Construction in progress	789	13,847	2,035
Land held for sale	366	345	335
	135,439	130,013	116,152
Less accumulated depreciation	44,500	37,100	31,976
	$ 90,939	$ 92,913	$ 84,176

6. Long-term debt

	September 30, 2002	December 31, 2001	December 31, 2000
	(unaudited)		
Debt with Maple Leaf Foods Inc.	$106,357	$111,580	$143,297
Other	—	61	73
	106,357	111,641	143,370
Less current portion	5,602	8,280	2,830
	$100,755	$103,361	$140,540

New York Bagel, MLB US and MLB UK have a debt facility with Maple Leaf Foods. The principal and interest are payable on demand. The interest rates on these facilities are fixed at 7.0% for 2002 and 2001 and was 6.5% in 2000. MLB US has obtained a letter of agreement from Maple Leaf Foods indicating that Maple Leaf Foods will not demand repayment of the amount shown as the non-current portion of the long-term debt before October 1, 2003 and accordingly, that amount due has been classified as long-term debt.

During 2001, Maple Leaf Bakeries converted $64.3 million of related party debt with Maple Leaf Foods to share capital.

7. Shareholder's equity

Shareholder's equity consists of the following:

	September 30, 2002	December 31, 2001	December 31, 2000
	(unaudited)		
Share capital	$ 91,059	$ 91,059	$ 17,267
Retained Earnings (deficit)	(50,011)	(52,075)	(50,435)
Unrealized foreign currency adjustment	560	(44)	502
	$ 41,608	$ 38,940	$(32,666)

8. New York Bagel addition

In September 2001, Maple Leaf Foods purchased the shares of New York Bagel, located in England, for $9.4 million.

Details of net assets are as follows:

	2001
Bank Debt	$(2,502)
Net working capital	(5,094)
Property and equipment	2,462
Goodwill	14,232
Future income taxes	317
	$ 9,415

Included in the acquisition cost were accruals of $2.7 million in respect of restructuring and other related costs.

9. Other income

Other income in 2000 includes $0.7 million of gain on sale of property and equipment and $1.6 million of gain on insurance proceeds.

10. Income taxes

As at December 31, 2001, Maple Leaf Bakeries has recognized a future tax benefit of $13.2 million (2000 — $8.1 million) relating to its carry-forward of operating losses for tax purposes of approximately $34.6 million (2000 — $20.8 million). The tax benefit of $7.4 million relating to Maple Leaf Bakeries' operating losses transferred to other entities in the consolidated U.S. group is reflected as a charge to retained earnings in the year in which the loss is transferred.

The breakdown of certain tax accounts is as follows as at, and for the periods ended:

	September 30, 2002	December 31, 2001	December 31, 2000
	(unaudited)		
US			
Future tax asset non-current	$12,788	$12,746	$ 8,140
Future tax liability non-current	9,998	10,050	8,821
Income tax provision (recovery)	(190)	(3,501)	(3,565)
UK			
Future tax asset non-current	$ 807	$ 1,105	—
Future tax liability non-current	437	311	184
Income tax provision	799	152	4
Total			
Future tax asset non-current	$13,595	$13,851	$ 8,140
Future tax liability non-current	$10,435	$10,361	$ 9,005
Income tax provision (recovery)	$ 609	$(3,349)	$(3,561)

11. Financial instruments

The carrying amounts of cash, receivables, payables and debt approximate fair value due to the short term nature of these financial instruments.

12. Related party transactions

Maple Leaf Bakeries is party to certain agreements and transactions in the normal course of business with Maple Leaf Foods and its subsidiaries (''related parties''). Significant related party transactions not disclosed elsewhere include the following:

a) MLB US entered into a management services Agreement with Canada Bread. Pursuant to this agreement, for the nine months ended September 30, 2002, MLB US purchased $44.9 million (twelve months ended 2001 — $56.1 million; twelve months ended 2000 — $43.1 million) of frozen bakery products from Canada Bread. The terms of the purchase, including purchase price of the frozen bakery products are governed by a Management Service Agreement. For the nine months ended September 30, 2002, sales of this frozen bakery product to third parties were $60.0 million and have been

included in these financial statements (twelve months ended 2001 — $72.4 million; twelve months ended 2000 — $57.0 million).

b) Maple Leaf Foods Inc. provides Maple Leaf Bakeries with certain management services including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. For the nine months ended September 30, 2002, Maple Leaf Bakeries paid an administrative fee of $1.5 million (2001 — $1.9 million; 2000 — $1.8 million) to Maple Leaf Foods for these services.

c) Maple Leaf Bakeries receives certain Information Services and Corporate Engineering Services from Maple Leaf Foods at a cost of $0.7 million for the nine months ended September 30, 2002 (2001 — $1.3 million; 2000 — $1.1 million).

13. Contingencies and commitments

(a) In the normal course of business Maple Leaf Bakeries enters into sales commitments with various customers, and purchase commitments with various suppliers. These commitments are for varying terms, and can provide for fixed or variable prices. Maple Leaf Bakeries believes these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(b) Maple Leaf Bakeries has operating lease commitments in respect of property and equipment used in operations, which require minimum annual payments as follows:

2002	$ 449
2003	1,580
2004	1,248
2005	1,009
2006	1,021
Thereafter	429
	$5,736



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